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Same fears, different crisis

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Same fears, different crisis

France's political and fiscal challenges have sparked comparisons with the eurozone debt crisis. But while some warning signs look familiar, key differences mean today's France is not Greece in 2010 and fears of a new euro crisis are overblown

History hardly ever repeats. It rhymes. More than 16 years after the eurozone sovereign debt crisis, France's political and fiscal troubles have revived memories of that period. However, as is so often the case with memories, particularly those of experts and market participants who weren't even around at that time, they tend to be blurry and oversimplified. Luckily, yours truly and other members of ING's Research team were around at that time and can call themselves true euro crisis veterans.

A trip back to the euro crisis

Let me take you on a trip down memory lane. The euro crisis began with a revision, not a recession. In October 2009, the newly elected PASOK government of George Papandreou announced that the 2009 budget deficit would be around 12.7% of GDP, roughly double what Athens had previously reported. Eurostat later put the final figure at 15.4%. Overnight, the problem was no longer the size of the hole; it was that nobody had known how deep it was. Suspicion that Greece had fought its way into eurozone membership with creative accounting accompanied the entire euro crisis.

After the statistical revelation, the numbers were brutal: public debt was close to 130% of GDP and heading for 150%. The current account deficit had hit around 15% of GDP in 2008: Greece was borrowing abroad not only to fund its state but its entire economy. Unit labour costs in Greece had risen much faster than in Germany since euro entry. Interestingly, markets did not panic at once. When the revision came out, the 10-year Greek spread over Bunds was around 130bp, about where France trades now. It took six months of failed promises, rating downgrades and EU dithering to turn that into a funding crisis.

Shortly before Greece finally received a European bailout, and the infamous troika of the European Commission, the ECB and IMF basically took over policymaking in Greece, the spread between Greek and German debt was above 900bp. And actually it was above 3000bp two years later, at the time of the second bailout and haircuts on Greek debt.

It didn't take long before the debt crisis spread from Greece to other European capitals. Not at once but over two years, with spreads vis-à-vis Germany reaching around 1500bp in the case of Portugal, 1100bp in the case of Ireland and around 600bp for Spain and Italy. The transmission channels of contagion differed. While the bailout of its banks blew up the Irish budget deficit to 32% of GDP, Spain saw its real estate market imploding with regional banks going bust, Portugal suffered from an enormous current account deficit and high private debt and, last but not least, Italy got into trouble due to high government debt, low growth and a lack of political credibility. What these countries had in common was a lack of market confidence in the existence of a credible lender of last resort and the unresolved doom loop between banks and sovereigns.

It took Mario Draghi's 'whatever it takes', a multi-layered firewall of new European (rescue) institutions, as well as the political will in European capitals to implement austerity measures and structural reforms, to stop the crisis.

Why France is not Greece

We receive many questions about whether France is the new Greece and whether we are stumbling into the next euro debt crisis. And, indeed, at least at first glance, some numbers are worrying: France's debt ratio is now similar to that of Italy in 2011 and Greece in 2009. The French fiscal deficit is wider than Italy's was then. The primary deficit – the gap before interest – is close to 3% of GDP. Closing it requires a political consensus that France has not produced since the 1970s. Most worrying is the French track record of missing its own and European targets for years, if not decades. Greece's credibility was destroyed by false statistics; France's is being eroded by false promises and the inability or unwillingness to start fiscal and structural reforms.

While these elements are clearly frightening, there are also significant differences between France now and Greece back then. While Greece had a substantial current account deficit, France's current account is basically in balance, the household savings rate is at around 18% and the effective interest rate France pays on its whole debt stock is still below nominal GDP growth. Greece in 2010 paid around 5% on its debt stock while the economy was shrinking. France has a fiscal problem but not a funding problem. What's more, the eurozone now has a firewall that it didn't have 16 years ago. Admittedly, the firewall has been constructed for smaller eurozone countries, not for France or Italy.

All of this means that fears about a new euro debt crisis are overdone. Fears about the political ability and willingness to bring national economies and the entire EU on course for reforms and sustainable public finances, unfortunately, are not.

Watch: Debt crisis 2.0? Why France isn't the new Greece

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Our key calls this month

- **Energy prices:** Despite growing tensions, we still expect oil prices to fall materially into year-end. We're sticking to our forecast for Brent crude to average $80/bbl through the fourth quarter. European gas is the bigger near-term risk; we expect Dutch TTF to average €75/MWh this quarter before falling sharply from 2Q27 as supply normalises.
- **United States:** We expect the Fed to hike rates again in December, but we don't expect further increases in 2027 as inflation pressure begins to fade.
- **Eurozone:** Growth has proved resilient but higher energy costs, rising bond yields and French fiscal uncertainty should slow growth through winter. We expect one more ECB hike in December, taking the deposit rate to 2.75%.
- **China:** The recent State Council meeting appeared to signal a more proactive policy push amid flagging growth. Should economic momentum remain subdued into year-end, policymakers may respond with further fiscal stimulus and a broader easing of monetary policy.
- **United Kingdom:** Inflation looks set to briefly top 4% next year and that's likely to trigger a November insurance rate hike from the Bank of England. We tentatively expect that to be followed by another hike in February.
- **Market rates:** The balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. This could take the US 10-year yield back into the 5.25% to 5.5% range. For later in 2027, we think inflation will come down, and long rates should too.
- **FX:** We see limited scope for a near-term EUR/USD rebound. Key factors for EUR/USD now are a hawkish Fed and a re-pricing of the ECB cycle on French fiscal concerns. Neither of those factors appears set for an imminent reversal, leaving EUR/USD to languish in a new 1.10-1.15 range.

ING global forecasts

	1Q26	2Q26F	2026 3Q26F	4Q26F	2026F	1Q27F	2Q27F	2027 3Q27F	4Q27F	2027F	1Q28F	2Q28F	2028 3Q28F	4Q28F	2028F
United States															
GDP (% QoQ, ann)	2.5	2.2	3.4	2.6	**2.4**	2.2	1.9	2.2	2.2	**2.4**	2.1	2.1	2.1	2.1	**2.1**
CPI headline (% YoY, avg)	2.7	3.8	3.5	3.7	**3.4**	3.1	2.1	2.2	1.9	**2.3**	2.1	2.1	2.0	2.0	**2.0**
Federal funds (%, eop)	3.75	3.75	4.00	4.25	**4.25**	4.25	4.25	4.25	4.00	**4.00**	3.75	3.50	3.50	3.50	**3.50**
3-month SOFR rate (%, eop)	3.70	3.65	4.00	4.15	**4.15**	4.15	4.15	4.10	3.90	**3.90**	3.65	3.40	3.40	3.40	**3.40**
10-year interest rate (%, eop)	4.20	4.50	5.30	5.25	**5.25**	5.25	5.00	4.75	4.75	**4.75**	4.50	4.50	4.50	4.50	**4.50**
Fiscal balance (% of GDP)					**-6.5**					**-6.5**					**-6.4**
Gross public debt / GDP					**100.6**					**102.5**					**104.7**
Eurozone															
GDP (% QoQ, ann)	-0.1	2.6	1.1	0.8	**1.0**	0.7	1.4	1.5	1.4	**1.2**	1.3	1.2	1.2	1.1	**1.3**
CPI headline (% YoY, avg)	2.0	3.2	3.3	4.1	**3.2**	3.7	2.5	1.9	1.8	**2.5**	2.0	2.1	2.1	2.2	**2.1**
ECB Deposit Rate (%, eop)	2.00	2.25	2.50	2.75	**2.75**	2.75	2.75	2.75	2.50	**2.50**	2.50	2.50	2.50	2.50	**2.50**
3-month interest rate (%, eop)	2.10	2.30	2.60	2.80	**2.90**	2.90	2.80	2.70	2.50	**2.50**	2.60	2.60	2.60	2.70	**2.70**
10-year interest rate (%, eop)	3.00	2.90	3.50	3.40	**3.40**	3.30	3.25	3.20	3.20	**3.20**	3.10	3.10	3.10	3.20	**3.20**
Fiscal balance (% of GDP)					**-3.6**					**-3.5**					**-3.5**
Gross public debt/GDP					**92.1**					**92.8**					**93.5**
Japan															
GDP (% QoQ, ann)	1.9	1.1	0.4	1.2	**0.7**	0.8	1.2	1.2	0.8	**1.0**	0.8	1.2	0.8	0.8	**0.9**
CPI headline (% YoY, avg)	1.4	1.6	1.8	1.9	**1.7**	2.4	2.6	2.3	2.0	**2.3**	2.2	2.0	2.1	2.0	**2.1**
Target rate (%, eop)	0.75	1.00	1.25	1.25	**1.25**	1.50	1.75	1.75	1.75	**1.75**	1.75	1.75	1.75	1.75	**1.75**
3-month interest rate (%, eop)	1.25	1.40	1.50	1.65	**1.65**	1.85	2.00	2.00	2.00	**2.00**	2.00	2.00	2.00	2.00	**2.00**
10-year interest rate (%, eop)	2.35	2.65	2.80	2.90	**2.90**	3.10	3.10	3.00	3.00	**3.00**	3.00	3.00	3.00	3.00	**3.00**
Fiscal balance (% of GDP)					**-1.8**					**-2.4**					**-2.9**
Gross public debt/GDP					**202**					**200**					**197**
China															
GDP (% YoY)	5.0	4.3	4.4	4.5	**4.6**	4.0	4.8	4.4	4.3	**4.4**	4.4	4.0	4.2	4.3	**4.2**
CPI headline (% YoY, avg)	0.8	1.1	0.7	0.9	**0.9**	1.0	1.3	1.4	0.8	**1.1**	0.6	0.8	1.1	1.4	**1.0**
7-day Reverse Repo Rate (% eop)	1.40	1.40	1.40	1.40	**1.40**	1.40	1.30	1.30	1.30	**1.30**	1.30	1.30	1.30	1.30	**1.30**
3M SHIBOR (% eop)	1.51	1.42	1.40	1.40	**1.40**	1.40	1.35	1.35	1.35	**1.35**	1.30	1.30	1.30	1.30	**1.30**
10-year T-bond yield (%, eop)	1.85	1.75	1.68	1.75	**1.75**	1.83	1.90	1.95	2.00	**2.00**	2.00	2.05	2.07	2.10	**2.10**
Fiscal balance (% of GDP)					**-5.3**					**-5.3**					**-5.4**
Public debt (% of GDP), incl, local govt					**140**					**145**					**150**
United Kingdom															
GDP (% QoQ, ann)	2.6	2.1	1.9	0.3	**1.4**	0.8	1.9	1.1	1.5	**1.2**	1.3	1.5	1.7	1.9	**1.5**
CPI headline (% YoY, avg)	3.1	2.8	3.1	3.6	**3.2**	3.8	3.4	3.0	2.6	**3.2**	2.1	1.9	1.9	1.9	**2.0**
BoE official bank rate (%, eop)	3.75	3.75	3.75	4.00	**4.00**	4.25	4.25	4.25	4.00	**4.00**	3.75	3.50	3.25	3.25	**3.25**
3-month interest rate (%, eop)	3.50	3.75	3.80	4.20	**4.20**	4.30	4.25	4.10	4.00	**4.00**	3.75	3.50	3.25	3.25	**3.25**
10-year interest rate (%, eop)	4.70	5.00	5.20	5.30	**5.30**	5.25	5.00	4.70	4.55	**4.55**	4.50	4.50	4.50	4.50	**4.50**
Fiscal balance (% of GDP)					**3.6**					**3.1**					**3.1**
Public sector net debt (FY, %)					**94.8**					**95.7**					**97.0**
EUR/USD (eop)	1.16	1.14	1.13	1.13	**1.13**	1.13	1.16	1.16	1.17	**1.17**	1.19	1.20	1.21	1.22	**1.22**
USD/JPY (eop)	159	162	157	158	**158**	158	157	156	155	**155**	154	153	152	152	**152**
USD/CNY (eop)	6.89	6.79	6.70	6.70	**6.70**	6.65	6.60	6.60	6.55	**6.55**	6.51	6.47	6.43	6.40	**6.40**
EUR/GBP (eop)	0.87	0.86	0.85	0.84	**0.84**	0.84	0.85	0.86	0.87	**0.87**	0.87	0.87	0.88	0.88	**0.88**
ICE Brent - US$/bbl (average)	78	97	91	80	**87**	75	68	70	69	**71**	70	72	75	70	**72**
Dutch TTF - EUR/MWh (average)	40	46	64	75	**56**	70	45	37	35	**47**	30	27	24	28	**27**

Source: ING forecasts

Oil prices hold firm despite Persian Gulf supply growing

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Oil prices remain firm despite rising supply from the Persian Gulf. We expect oil prices to trade lower into year-end. More positive signs of a potential US-Iran deal would give us more confidence in this view. Meanwhile, European gas looks vulnerable heading deeper into the heating season

Oil prices are holding firm despite Persian Gulf supply increasing

Persian Gulf oil flows pick-up

There are few signs of de-escalation in the Middle East. If anything, it appears as though the conflict is broadening, with the Houthis in Yemen increasingly targeting Saudi Arabia. Despite little improvement in the geopolitical environment, oil flows from the Persian Gulf have been trending higher with supply from the region returning to 70-75% of pre-war levels, although there are some estimates suggesting we could be back to as high as 80-90% of pre-war flows.

The fact that oil prices are well-supported despite the improvement in flows from the region appears to reflect concerns over how sustainable this supply is, particularly when considering the geopolitical backdrop. The market continues to price in a large risk premium in the absence of a deal between the US and Iran. And to see this risk premium erode, the market may need the comfort of a deal. Failing that, time may be enough for oil prices to trend lower, assuming supplies from the region continue to hold up. For now, we are holding onto our 4Q26 Brent forecast of $80/bbl and FY27 forecast of $71/bbl. However, given the high level of uncertainty, this is a low-conviction call, specifically for 4Q26.

As oil flows from the Persian Gulf have picked up, another bottleneck has become increasingly noticeable in the oil market. There is significant tightness in the tanker market, which has seen tanker freight rates surge to record levels. Oil flows from the Persian Gulf have become increasingly inefficient due to the challenging environment, which has absorbed more of the global tanker fleet. And the only way this starts to normalise is if the way oil flows from the region also starts to normalise.

The other pain point for the oil market remains diesel, which will be a concern as we head further into the Northern Hemisphere winter. Disruptions from the Persian Gulf and Russia have tightened the market, while the risk of export restrictions from the US has kept the market nervous. The risk of US export restrictions appears to have subsided,

with Europe set to release diesel from strategic reserves. Furthermore, expensive freight suggests that refined product prices are likely to remain elevated.

Natural gas vulnerable heading into heating season

European natural gas prices have traded at their highest level since December 2022, with supply concerns growing as the region heads into the heating season. Unfortunately for the natural gas market, we have not seen a similar recovery in LNG flows from the Persian Gulf as we have with oil. Therefore, LNG flows from the region remain down about 80% YoY. The market is increasingly accepting that Persian Gulf LNG could remain largely absent from global markets for much of the Northern Hemisphere winter. This means Asia and Europe will continue competing for spot cargoes throughout the winter, keeping prices well supported and leaving the market vulnerable to further spikes.

European gas storage remains a concern, with it a little under 75% full, well below the five-year average of 89%. Low storage has seen the German government instruct state-owned SEFE to buy and store an additional 8TWh of natural gas by 15 December. The prospect of essentially forced buying provides further support to the market.

With little sign of an imminent recovery in Persian Gulf LNG supply, weather will be crucial this winter, and there is growing expectation that Europe will experience a winter of milder temperatures due to El Niño, which would provide some relief to the market. However, it is not a strong relationship, and El Niño does not guarantee milder temperatures. The North Asia winter will also be important for the LNG market, as El Niño can also typically mean milder temperatures in this region.

We now expect TTF to average EUR73/MWh over the 26/27 winter, up from a previous forecast of EUR65/MWh. The market will likely be very volatile over this period, given the lower starting point for gas storage. Prices are then expected to sell off aggressively from 2Q27 as Persian Gulf supply normalises, and we see a further ramp-up in US LNG export capacity.

AI, energy and jobs: 3 scenarios for inflation

A look at how inflation could become even more problematic due to the worsening energy picture, AI bottlenecks and a stronger-than-expected jobs market – and what that would all mean for the central banks

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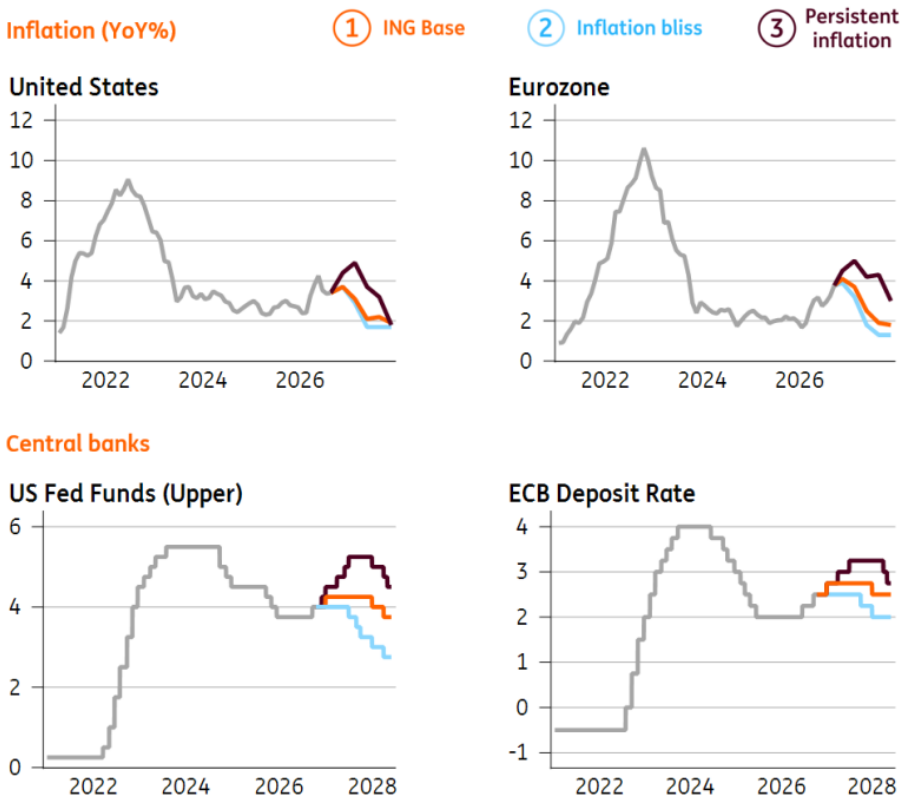
Three scenarios for inflation and central banks



Source: ING

Three scenarios for markets

		1 ING Base					2 Inflation bliss					3 Persistent inflation				
		2026	2027				2026	2027				2026	2027			
	14 October	Q4	Q1	Q2	Q3	Q4	Q4	Q1	Q2	Q3	Q4	Q4	Q1	Q2	Q3	Q4
Brent Crude (USD/bbl)	106	80	75	68	70	69	75	70	60	65	63	115	130	115	110	105
Dutch TTF gas (EUR/MWh)	87	75	70	45	37	35	60	55	32	31	32	95	90	65	80	100
US Inflation (YoY%)	3.7%	3.7	3.1	2.1	2.2	1.9	3.7	2.9	1.7	1.7	1.7	4.4	4.9	3.7	3.2	1.8
Eurozone Inflation (YoY%)	3.8%	4.1	3.7	2.5	1.9	1.8	3.9	3.2	1.8	1.3	1.3	4.5	5.0	4.2	4.3	3.0
ECB Deposit Rate (%)	2.5	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.25	2.00	2.75	3.00	3.25	3.25	3.25
Fed Funds Rate (%)	4.0	4.25	4.25	4.25	4.25	4.00	4.00	4.00	3.50	3.25	3.00	4.50	5.00	5.25	5.25	5.00
2Y EUR swap rate (%)	3.40	3.30	3.25	3.15	3.00	2.85	3.10	2.80	2.50	2.10	2.20	4.00	4.50	4.00	3.75	3.00
10Y EUR swap rate (%)	3.55	3.50	3.40	3.35	3.20	3.15	3.40	3.20	2.70	2.30	2.30	4.00	4.30	4.20	4.10	3.90
2Y USD swap rate (%)	4.72	4.50	4.40	4.30	4.05	3.80	4.40	3.80	3.30	3.00	2.40	5.00	6.00	5.50	5.15	4.50
10Y USD swap rate (%)	4.86	4.75	4.75	4.50	4.20	4.20	4.70	4.30	3.50	3.20	2.80	5.25	5.75	5.60	5.50	5.40
EUR/USD	1.11	1.13	1.13	1.16	1.16	1.17	1.14	1.17	1.19	1.19	1.24	1.11	1.06	1.07	1.08	1.09

Source: ING

Three scenarios for global inflation

	Inflation bliss	ING Base Case	Persistent inflation
Energy prices	Energy prices fall rapidly through the fourth quarter Brent crude averages **75 USD/bbl** in Q4	Middle East backdrop stabilises by year-end, helping prices lower. Brent crude averages **80 USD/bbl** in Q4	Prices shoot higher as crisis deepens through winter Brent crude averages **115 USD/bbl** in Q4, hitting 130 in Q1.
Second round effects	**Negligible.** Services inflation trends down. Food prices contained as input costs come down again	**Limited.** Food inflation picks up, but pass-through to services and core goods stays contained.	**Forceful.** Energy-intensive inflation components surge, rivalling 2022 experience
AI & productivity	**Productivity booms.** AI investment boom has little inflationary impact. Major economies experience non-inflationary growth.	**Mixed.** The AI investment boom gradually cools without a crash. Productivity gains prove patchy in the short-term.	**Investment boom.** Serious bottlenecks develop, lifting inflation via power prices and core goods. Productivity disappoints.
Jobs market	**"Good" productivity story boosts hiring.** Wage growth picks up but unit labour costs held down by rising output per worker.	**Unemployment edges up.** Higher inflation hits firm margins. AI takes some jobs, but it remains a marginal story in 2027.	**Surging wage growth.** Worker power high as low migration tightens job market. Real wage growth holds up despite oil prices.
Fiscal support & debt	**Debt stabilises.** Fading energy shock reduces stimulus needs. Lower interest rates help stabilise debt ratios.	**Mixed support.** Germany fiscal impact grows in 2027. Energy support remains targeted. Some countries embrace modest austerity.	**Stimulus rises.** Despite higher borrowing costs, political pressure sees government boost energy support. Debt ratios surge.
Overall inflation impact in the US/eurozone	**Inflation below target** by the second half of 2027 and remains contained through 2028	**Inflation stays above target** until late 2027 before converging on 2% through 2028	**Inflation hits 5% in early 2027** and remains well above target throughout the year
Central banks	**2027 rate cuts.** Lower inflation prompts swift cuts despite resilient growth and enables rates to stay lower in the medium-term.	**Limited hikes.** Near-term energy pressure prompts limited extra tightening, but rate cuts arrive by 2028 from the Fed and ECB.	**Aggressive tightening.** Hikes exceed market pricing. Cuts pushed back and rates stay above pre-war levels through 2028.
Market impact Rates	Markets reassess second round inflation risks and **reprice the neutral rate lower** on AI productivity story	Near-term inflation pressure and political concerns **keep yields elevated in 2026** before turning lower through 2027	Inflation fears trigger a **bond-sell off in 2027**. A higher term premium lingers even after cuts on the back of inflation risks and investment boom
Market impact FX	Lower interest rates globally are a **USD negative**, prompting EUR/USD to return to 1.20 by the end of 2027	Fed shifts away from tightening bias only gradually, meaning the **dollar decline only resumes from 2Q27** onwards	Higher for longer rates and bond market instability drive **EUR/USD into a 1.05-1.10 range**

Source: ING

Our latest views on the major central banks

Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months

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Federal Reserve

When the Federal Reserve raised the policy rate 25bp at its September meeting, only two FOMC members expected no further hikes, while four of 18 thought they would need to raise rates at both the October and December meetings. The other 12 all expected one further rate rise this year.

Senior Fed officials have since suggested that they can take their time on rate hikes with no need for moves at consecutive meetings, which means October's FOMC meeting is widely expected to see policy left unchanged. We, like the market, expect a 25bp rate hike at the December meeting given inflation remains elevated and unemployment is low.

Nonetheless, the move higher in Treasury yields and the stronger dollar are contributing to tighter monetary conditions, which will weigh on growth. Given our inflation and jobs projections, we do not expect additional policy tightening in 2027, despite the market pricing in a further 50bp of hikes.

European Central Bank

A resilient eurozone economy and increasing headline inflation remain strong arguments for yet another ECB rate hike. Not necessarily at the October meeting, as the ECB prefers having the quarterly staff projections in its briefing notes when deciding on interest rates, but definitely at the December meeting. However, given that we still see hardly any pass-through from higher energy prices to the rest of the economy, there are also very few reasons for the ECB to become overly hawkish.

While the macro picture doesn't provide any new arguments for changing the monetary policy stance at the October meeting, the surge in bond yields and the fiscal situation in France will be top of mind at the ECB. Not so much because of any consideration of

intervention. For that, the French government would first have to implement austerity measures before the ECB would ever consider starting any bond purchases.

However, beyond the question of restarting bond purchases, the rise in bond yields has already impacted eurozone growth and inflation. In fact, the surge in German bond yields since the September meeting has already had roughly the same impact on growth and inflation as an additional 25bp rate hike.

For France, it's closer to a 50bp hike. With bond markets doing the ECB's job, some central bank officials might be less keen to continue hiking than they were at the September meeting.

Bank of England

We now expect two rate hikes from the Bank of England – in November and February. Until now, the Bank has cast its decision not to cut rates, as implicitly planned before the Iran War, as de facto tightening. But recent comments suggest it increasingly feels it needs to act.

The Bank's November inflation forecasts are likely to show CPI briefly above 4%, and that is likely to be the catalyst for a hike, citing previous research that inflation at these levels is historically more likely to trigger second-round effects.

But the case for hikes is still not compelling. With the jobs market still relatively cool, we're sceptical that wage growth is likely to react to higher energy prices anywhere near as much as it did four years ago. Interest rates are also more evidently restrictive than they are in the eurozone or the US. That still points to rate cuts from late 2027 and into 2028.

Bank of Japan

The market prices in very low chances of a back-to-back BoJ hike on 30 October following its 25bp hike to 1.25% last month. That move saw two dissenters, and the BoJ typically takes time to assess the impact of policy changes before further adjustments. Nonetheless, the central bank continues to see upside risks to inflation and seems intent on a terminal policy rate somewhere in the 1.75-2.00% area next year.

Most in the market are expecting the next hike to come in December, seeing the BoJ switching to a quarterly cycle from a six-monthly cycle of tightening policy. That faster pace of tightening would seemingly be in accord with Washington's desire for BoJ monetary policy to provide some credible macro support to July's joint US-Japan intervention in the yen.

We see risks that the next hike could be pushed back into January, however. This allows the BoJ a little more time to monitor the economy. Prime Minister Sanae Takaichi's government remains set on a domestic demand push, and we have a slight preference that the next two hikes are backloaded into January and April, right before the consumption tax rate on food is cut to 1% from 8%.

US midterm elections: 3 scenarios for markets

Intensifying cost-of-living concerns, linked to the price of motor fuel and the war with Iran, have boosted the Democrats' chances of regaining control of Congress, but nothing is guaranteed in US elections. We look at the three possible scenarios and what they may mean for the economy and markets

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President Donald Trump's approval rating has hit new lows as we approach the US midterms in November

The US midterm elections are on 3 November, with all 435 House of Representatives seats and 35 of the 100 Senate seats up for election. Worries about the cost of living and the impact of AI on job security are regularly cited as key factors driving sentiment, while support for the conflict with Iran has wavered. Opinion polls currently suggest the Democrats lead by around eight percentage points nationally, and President Donald Trump's own approval rating has hit new lows, leading to Republican Party concerns about a demotivated electoral base.

Pollsters and prediction markets anticipate a Democrat takeover of Congress, but surprises do happen in US politics. While the midterms rarely lead to radical changes in policy direction, the result could significantly constrain President Trump, putting more focus on foreign and trade policy. We look at what the possible outcomes could mean.

Midterm election scenarios

	Policy drivers and macro impact				Market impact	
	Domestic policy	Foreign policy	Trade policy	Fed policy impact	USD	US 10Y yields
1 **Republican revival** Republican House Republican Senate	Promised $5000 checks and more defense spending won't be offset by "efficiency savings" or lower healthcare spending. Fiscal worries mount	Trump emboldened on Iran, intensifying the military action. Ukraine-Russia deal sought. NATO nations' defense spending criticisms mount	Trade policy potentially orientated towards retaliatory tariffs if allies' policies diverge from US positions	Loose fiscal policy likely to be accompanied by tighter monetary policy as inflation and deficit concerns mount	↑	↑
2 **Trump constrained** Democrat House Republican Senate	Legislative deadlock, more Congressional scrutiny of tech/AI, strong likelihood of lengthy government shutdown by early summer 2027	Domestic agenda is constrained, with more focus on foreign policy. Iran remains the focus, but more Congress scrutiny	Trade and foreign policy the only levers president Trump can pull, running the risk of a re-escalation of tensions	Pressure to get a deal done with Iran and a prolonged government shutdown could dampen inflation concerns	→	→
3 **Democrat clean sweep** Democrat House Democrat Senate	Democrats potentially launch a third impeachment of President Trump. Republican cracks form as candidates look to 2028	Iran escalation faces heavy Congressional push-back, accompanied by greater criticism of Israel and Russia	Trade tariffs potentially tied to European and Asian allies stepping up on defense spending and support against Iran	Fiscal gridlock and a weakened President leave the Fed focusing on economic data and market dynamics	↘	↗

Source: ING

Scenario 1: A Republican revival

Republicans retain control of both the House and the Senate

This is seemingly the least likely outcome at the current juncture, given the state of the opinion polls. Nonetheless, if it happens, President Trump will see it as justification for his America First strategy. With re-election no longer a consideration, Trump's final two years are likely to focus on his legacy, entrenching what he views as his defining achievements.

We are looking at a further strengthening of border enforcement with expanded deportations. Tariff policy is likely to be increasingly focused on incentivising foreign partners to align with US international policy, together with more defence spending demanded of NATO members. Trump will also feel emboldened to push hard economically and militarily against Iran with demands that other countries contribute to those efforts. Deregulation is likely to be a theme, while fast-tracking AI/technology innovation and incentivising manufacturing and energy production (both fossil and nuclear) will be the main policies aimed at boosting economic growth.

Fiscal worries are likely to intensify, though. While few expect the president to follow through with his promise of $5,000 checks for returning Republicans to Congress, more defence spending will not be fully offset by efficiency savings or lower healthcare expenditure. Fiscal sustainability fears will intensify. At the same time, an escalation of military action in the Middle East could prompt significant energy market disruption, resulting in higher prices. Should the president force through "Trump dividend" payments, the Federal Reserve will come under even more market pressure to respond with higher interest rates, raising fears of a boom-bust cycle.

The market response to this outcome would be upward pressure on bond yields right along the curve. The front end reflects an intensification in the rate hike risk. The back end is spooked by the prospect of a further widening in the fiscal deficit and reactive tightening by the Fed. The 10yr yield likely pops above 5.5% and stays above, while the 2yr yield rises too and holds at around 5%. There is a contrarian possibility here that an emboldened Republican Party decides to act on the fiscal deficit, ultimately helping drive bond yields back down. But it's more likely that such an action would require a bad pain trade first for Treasuries to trigger such action.

Cyclically, this would be the most positive for the dollar on the back of the looser fiscal, tighter monetary policy outcome. Higher bond yields would continue to pressure-test the global financial system, with emerging market currencies and perhaps the euro too, via French government bonds, coming under further pressure.

Scenario 2: Trump constrained

Democrats win control of the House, Republicans retain the Senate

The House, where officials serve two-year terms, is currently split between 219 Republicans and 214 Democrats, with 2 seats vacant. Pollsters and prediction markets appear confident the Democrats will win here with relative ease. The Senate, currently split between 53 Republicans and 45 Democrats with 2 independents who vote with the Democrats, is a much closer call. The Democrats need to flip 4 of the 22 Republican seats and hold on to all 13 of their seats that are up for election to gain control of the Senate.

Even if the Democrats fail to win the Senate, they will stifle President Trump's legislative agenda over his final two years in power. Spending and tax proposals will be gridlocked while many Democrats will use the House victory to justify stalling data centre construction in their constituencies. There will be more scrutiny of technology companies and AI development, with hearings before Congress being demanded. Fossil fuel producers may face similar challenges.

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives. Given the gridlock in Congress, the president will only be able to implement policy where he can use Executive Powers: 1) Foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) appointments of personnel, and 5) administration and management policy. This suggests Iran and tariffs/trade policy are likely to be the focus for the president, but the Democrats could use Congressional power to try and restrain his actions.

Fiscal dynamics will remain a concern, although hitting the debt ceiling could act as a temporary brake. It will likely be an issue by mid-summer 2027 with little ground for compromise between the two sides in Congress. This risks an extended government shutdown, potentially exceeding last October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

It is the House where impeachment proceedings are started and a new round of action is possible. To be impeached, 67 of 100 Senators must vote in favour, which is likely not going to happen given there won't be enough Democrats (and supportive Republicans) to force it through. Nonetheless, the Democrats could use it as a way to constrain the president, but it risks toxifying the political situation in the US. Rather than the president facing such action, it has been mooted that the Democrats could launch investigations into members of his cabinet.

This outcome is broadly in line with the central market discount. The Democrats have one foot in the door, but remain broadly powerless to make meaningful change. Policy stasis leaves the bond market to balance the trade-off between a still elevated fiscal deficit and perhaps some taming of inflation concerns. We will probably see front-end yields easing lower while back-end yields maintain an upside bias, albeit within our preferred 5.25% to 5.5% range.

The dollar broadly prices in this scenario and a split Congress probably will not be significant enough to drag attention away from elevated inflation and a Fed intent on delivering at least one more rate hike. A prolonged government shutdown could start to weigh on the dollar in the second half of 2027, however.

Scenario 3: Democrat clean sweep

Democrats win control of both the House and the Senate

Given the polling and President Trump's poor personal approval ratings, this is the most likely outcome priced in prediction markets, although political analysts remain on the fence between this and scenario 2.

The implications are similar to scenario 2, but Democrats would likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They will be applying pressure on the president to sound tougher towards Russia and to provide support to Ukraine. Domestically, Democrats in Congress will try and pass legislation that improves healthcare access in return for some acquiescence surrounding the president's demands for higher defence spending – a government shutdown could reflect badly on the Democrats if they have control of both the House and the Senate. Fiscal concerns will persist.

A very strong showing for the Democrats that leads to a sizeable majority would heighten the chances of a third impeachment of President Trump, although it would need a sweeping victory to offer any chance of a conviction.

More fundamentally, a heavy defeat in the House and Senate could prompt figures within the Republican Party to take the view that it is time to open the debate on its

future direction. With President Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up support for their own campaigns as they look to the 2028 presidential election. Similarly, a large Democrat victory will intensify speculation over whether the party's candidate should be a traditionalist or whether the Left have the momentum to provide the 2028 candidate.

This outcome is not dramatically different from the previous scenario. Here the Democrats have a mandate to secure some change, but will remain constrained by an obstructive executive branch. Front-end yields come under upside pressure. Back-end yields possibly see a silver lining from more tariffs acting as a tax hike, but at the same time pressured by inflation. The 10yr risks getting towards 5.5%, but without breaking above.

The dollar could see a little weakness here as an emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out.

What it means for Europe and China

Should Republicans pull off a huge surprise and retain control of Congress, political pressure on Europe will increase. The risk of a forced deal between Russia and Ukraine, to the disadvantage of Ukraine and Europe, increases and could undermine economic sentiment in Europe. A new escalation in the Middle East would push up energy prices and harm the European economy. Europe's latest shift towards more protectionist trade policies could bring new global trade tensions.

Should there be a split Congress with the Democrats controlling the House, and Trump does indeed focus on foreign and trade policy, volatility and uncertainty in the global economy could increase. This will clearly affect Europe. At the same time, with only two years left in office, the TACO (Trump always chickens out) phenomenon could be an increasing part of Europe's considerations. The risk of an unwarranted economic accident increases as Trump's policies become more aggressive vis-à-vis Europe and Europe's own stance hardens (hoping for TACO and an end to Trump's term in office).

If there is a Democrat clean sweep, the sense that Trump's time is coming to an end could be all the greater and, under this scenario, some European countries could choose to slow the pace of defence spending increases given domestic fiscal considerations.

Regardless of the election outcome, China's main response will be wait-and-see, as it will react to actual policy changes rather than just potential shifts within Congress. The main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good and if the Republicans retain control of Congress, Trump's attention will be spread across a broader range of issues. This would make rocking the boat with China appear a little less likely. However, if President Trump is constrained by a Democrat-controlled Congress, then his focus will be channelled towards foreign and trade policy, meaning China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. If the Democrats win both the House and the Senate, it would send a signal to China that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

France’s 2027 budget is only the first fiscal test

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France’s 2027 budget would prevent a sharp deterioration in the public finances, but it would not be enough to stabilise public debt. Its adoption would provide some relief, although fiscal and political risks are likely to remain well beyond next year's presidential election

The Ministry of the Economy and Finance in Bercy, Paris. Even if the current budget proposal is adopted, fiscal uncertainty will not disappear in France

France is in the eye of the storm. Its public finances have deteriorated significantly, the budget faces a difficult parliamentary process, and the presidential election offers no clear prospect of political stabilisation. Economic conditions provide little support; we expect GDP growth of only 0.3% in 2026 and 0.6% in 2027.

France’s debt dynamics are particularly unfavourable. Over the past 15 years, its public debt ratio has risen significantly, while many other European countries have reduced theirs. French public debt reached 119% of GDP in mid-2026 and is expected to increase to 121.7% in 2027. Persistent primary deficits, rising interest payments and weak growth mean that debt will continue to rise without sustained fiscal adjustment.

The budget would limit the deterioration, not stabilise debt

The draft budget aims to reduce the public deficit to 5% of GDP in 2027, after 5.4% in 2026 and 5.1% in 2025. This requires €43bn of new measures. Without them, the government estimates that the deficit would reach around 6.5% next year.

This is a substantial adjustment and is consistent with France’s European expenditure trajectory. But a 5% deficit remains too high to stabilise debt, particularly with weak growth and a rising interest bill. Even if implemented in full, the budget would only limit the deterioration; the debt ratio would continue to rise.

The budget is likely to pass, but concessions may be needed

The parliamentary process can run until 17 December under the 70-day constitutional timetable. Without a majority in the National Assembly, the government is unlikely to secure approval in a normal vote. Our base case is that it uses Article 49.3 to adopt the budget without one, potentially after making concessions to ensure that a subsequent no-confidence motion fails. This could reduce the final fiscal adjustment.

We, nevertheless, expect the government to survive. Opposition parties have little incentive to trigger another political crisis shortly before the presidential election, take

responsibility for the resulting instability and risk a further deterioration in the public finances.

Alternatively, the government could let the deadline expire and impose its original budget by ordinance. It would first have to survive any pre-emptive no-confidence motion. Once the ordinances were adopted, however, the budget would remain in force even if the government subsequently fell.

Failing either outcome, a special law would ensure continuity of the state. But the deadlock could last until the summer and, without corrective measures, cause a sharp deterioration in the public finances.

France therefore faces another two months of budget uncertainty. Adoption would be a relative success, preventing the deficit from rising towards 6.5%. But concessions could dilute the adjustment, while even the original package would not stabilise debt.

Fiscal uncertainty will persist in 2027

Even if the budget is adopted, fiscal uncertainty will not disappear. The next government will still have to implement further reforms. Yet the presidential election on 18 April and 2 May 2027 will probably be followed by legislative elections, which could again produce a fragmented National Assembly and make those reforms difficult to pass.

There is also little clarity on the future fiscal strategy. Few prospective candidates have presented sufficiently detailed plans to stabilise public finances, and almost none appear willing to tackle pensions, despite their being the largest component of public spending and central to France's structural fiscal problem.

The National Rally, which leads first-round polls, has made fiscal consolidation a priority. But its plan, in our view, relies on very optimistic macroeconomic assumptions and difficult-to-deliver savings, as discussed in our assessment of its fiscal programme. The far-left La France Insoumise and its candidate, Jean-Luc Mélenchon, support cancelling part of the debt held by the central bank and pursuing an expansionary fiscal policy. There is even less visibility on who will emerge from the centre, the right and the rest of the left, or on their fiscal plans.

The 2027 budget will be a critical first step in containing France's fiscal deterioration. Whether that adjustment can be sustained and extended after the election remains much more uncertain.

The ECB's options in dealing with France's fiscal woes

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The bar for activating the ECB's bond-buying programme remains high. However, a further deterioration in France's situation could eventually force the ECB to demonstrate whether its 'whatever it takes' commitment still holds

ECB President Christine Lagarde

The ECB's most powerful tools are the ones it has never used. They are the tools that the ECB developed after Mario Draghi's 'whatever it takes' speech. Tools that showed 'whatever it takes' was something markets could believe in. The Outright Monetary Transactions programme during the euro crisis and the Transmission Protection Instrument (TPI) after the pandemic both shared the same objective: to enable potentially unlimited purchases of government bonds if needed.

Political and fiscal woes in France and the widening of the French spread have now raised the question of whether the ECB could intervene through TPI, which allows it to purchase securities issued by member states whose financing conditions have deteriorated for reasons not justified by country-specific fundamentals. However, before activating it, the Governing Council considers a cumulative set of criteria to determine whether the countries concerned are pursuing sound and sustainable fiscal and macroeconomic policies. In practice, this includes compliance with the EU fiscal framework, which would, at a minimum, require the proposed French budget to be fully adopted.

The ECB has nevertheless left itself some discretion, stating that the intervention criteria "will be dynamically adjusted to the unfolding risks and conditions to be addressed". This brings back memories of the famous "because it's France" by former European Commission President Jean-Claude Juncker. Generally speaking, the ECB will be in a difficult position: intervening too quickly in support of France may be viewed unfavourably by other member states and interpreted as monetary financing of the debt of a country unwilling to follow the rules. That argues strongly against early intervention. Also, don't forget that the leadership changes at the ECB over the next months (Schnabel, Lane, Lagarde) could also affect how the ECB views TPI.

Given the challenges of justifying the activation of TPI at present, we expect the ECB to adopt a three-pronged approach to address the French crisis.

The first line of defence is a more dovish approach to policy rates. As bond markets are currently taking over the ECB's job of inserting a more restrictive monetary stance on the economy, there is less need for the ECB to hike rates aggressively, or to hike rates at all. In fact, the ECB has already started to prepare this option, as ECB president Christine Lagarde recently noted that "while growth has been resilient, since our last meeting long-term interest rates have risen notably, which will slow growth and reduce pass-through by more than projected in our September exercise".

The second line of defence would be a covert return to bond purchases. The ECB could instead pause quantitative tightening temporarily and reinvest maturing bonds in its portfolio "flexibly", sending a positive signal to bond markets. This had already happened during the Covid period.

Last but not least, and in our view, the ultimate option in the case of more contagion in eurozone bond markets, the ECB would eventually trigger TPI. As long as France remains non-compliant with the European fiscal rules, the ECB might even consider purchasing bonds from almost all eurozone countries, except for France.

All in all, the current French situation is simply not enough for the ECB to trigger TPI. There are other ways to tackle any unwarranted impact from higher bond yields on the broader eurozone economy. However, a further escalation could eventually force the ECB to prove whether its 'whatever it takes' commitment still holds.

Strong US growth masks growing splits

High-income household spending and robust tech investment remain the key drivers of US growth. Higher borrowing costs are intensifying the stresses elsewhere, and this is prompting the Federal Reserve to take a gradual approach to policy tightening

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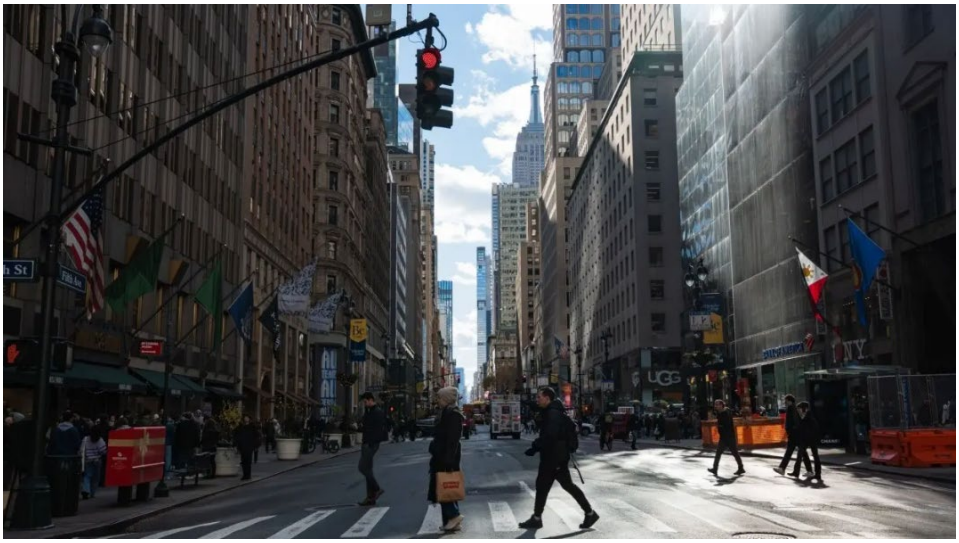
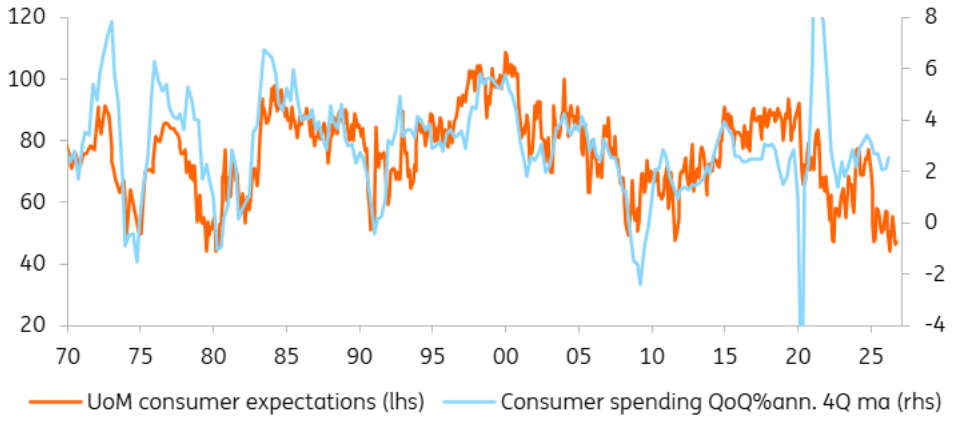


While some parts of the US economy continue to thrive, others are feeling the strain

Growing divergences in US sector performance

The US economy continues to perform strongly, although it masks growing divergences between sections of the economy. In terms of the consumer, high-income households continue to spend strongly, boosted by large wealth gains in recent years, while middle and lower incomes are being squeezed by slowing income growth and elevated inflation. This is underscored by the breakdown in the relationship between sentiment and spending, with household stress highlighted by declines in the saving ratio and rising loan delinquencies. The Federal Reserve's Survey of Consumer Finances reported that 8.6% of US households now spend more than 40% of their income on debt obligations.

University of Michigan consumer confidence & consumer spending growth YoY%



Source: Macrobond, ING

The job market sees similar bifurcation. Government, leisure and hospitality and private education and healthcare services are adding jobs while other sectors are seeing flat to

modest declines in employment levels. One sector showing signs of revival is manufacturing, with job gains of 72,000 year-to-date after three consecutive years of declines. Again, performance varies, with advanced manufacturing output (electronics/technology, transport and aerospace, speciality chemicals, pharma and power) experiencing robust growth, while more commoditised manufacturing, where it is difficult to charge a premium for Made-in-America products, is seeing output fall.

Then there is tech capex, which continues to soar amid the insatiable appetite to invest in data centres to facilitate growing AI demand. Power investment is also performing strongly, but outside of tech, we see little growth.

Slow and steady from the Fed

The growing split in performance is being intensified by higher borrowing costs, particularly higher Treasury yields, which are putting more pressure on interest rate-sensitive sectors. The housing market is facing strife, with mortgage rates now above 7.5% and housing transactions on par with the downturn experienced during the Global Financial Crisis. Auto sales are also cooling.

This has raised questions about how effective monetary policy is right now in containing inflation. Federal Reserve interest rate increases won't reopen the Strait of Hormuz, and they are probably not going to do much to restrain the big tech companies from spending aggressively on AI-related activities. However, it is increasingly hurting the weaker parts of the economy.

Inflation fears to rapidly fade once a Middle East deal is done

Fed officials have alluded to this risk, with some senior members suggesting they favour slow and steady tightening. We currently expect one more rate rise, which we expect to come at the December FOMC meeting. We don't anticipate any shift in the US-Iran conflict ahead of the midterms (see our extended piece on what the election could mean), but with polls suggesting Democrats will at least gain control of the House, this will restrict the president's ability to pass legislation, leaving him to focus on foreign policy after the election. Assuming we do see an agreement to improve Persian Gulf energy flows, this should significantly ease global inflation pressures, and we don't think the Fed will go further. However, the risk is clearly tilted towards a longer-lasting conflict rather than one that is resolved imminently. This means we would not rule out an additional rate hike in the first quarter of 2027.

Outside of energy and tech, inflation pressures are cooling. Housing is the largest component of the inflation basket by weight and the downturn here is increasingly likely to depress the shelter metrics. Furthermore, we are in a less onerous tariff regime than in 2025, while wage growth continues to cool given the low-hire, low-fire economy.

So, when flows through the Strait of Hormuz normalise, we expect market concerns about inflation to recede. Any additional Fed rate hikes over and above what we expect are likely to be swiftly reversed once an agreement is reached.

Increased bond market tensions likely to weigh on eurozone growth

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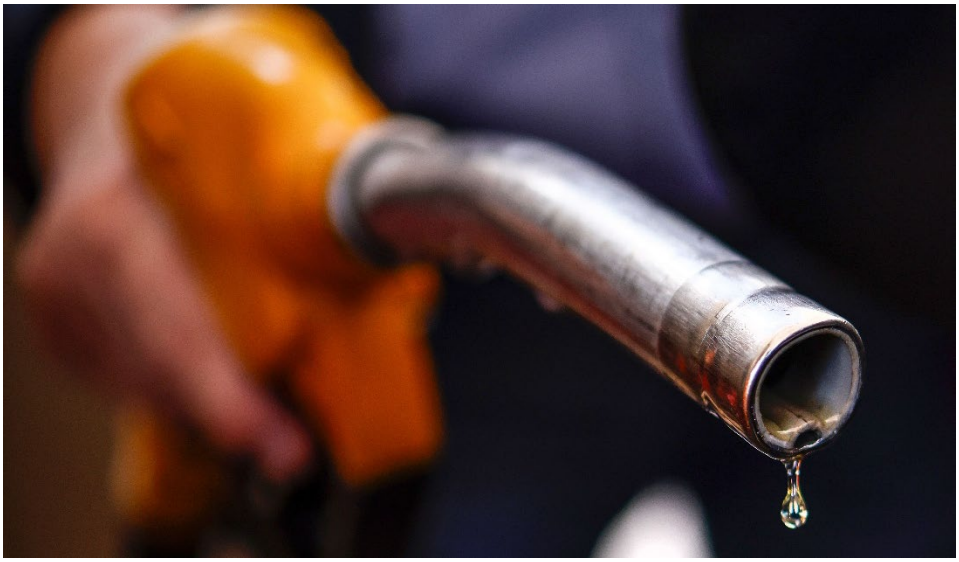
Eurozone growth likely remained solid in the third quarter, but higher energy prices, rising long-term interest rates and sovereign bond tensions will weigh on activity. Inflation is still too high, pointing to another ECB rate hike, although quantitative tightening could be halted



Higher energy and borrowing costs continue to weigh on the eurozone economic outlook

October is the cruelest month

October is budget season in Europe, when cash-strapped member states must show they can put their finances in order. France's minority government has proposed a budget that curbs expenditure growth but would still fail to stabilise the debt ratio next year. With presidential elections due in April and May 2027 and street protests mounting, few parties are willing to back austerity. We still expect the government to invoke Article 49.3 to pass the budget without parliamentary approval, but tensions may rise first.

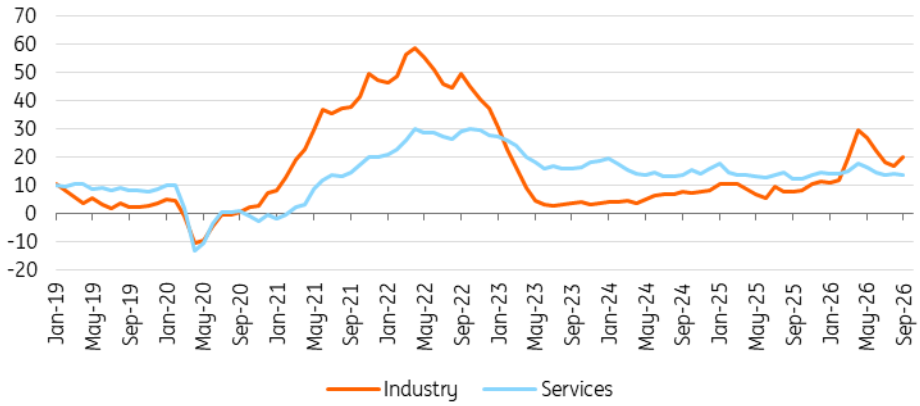
As for the rest of the eurozone, contagion has already widened bond spreads in other highly indebted member states, tightening eurozone financial conditions. This will increase pressure on governments to engage in austerity measures, resulting in a less accommodative fiscal stance in 2027.

Growth likely to slow temporarily

Energy prices remain relatively high, while wage growth is failing to keep pace with inflation. Households drew on savings in the second quarter and may need to do so again to support spending. Yet signs of a weakening labour market and renewed falls in consumer confidence point to softer consumption growth in the coming quarters.

Residential construction may also gradually feel the impact of higher bond yields. Business sentiment suggests GDP growth remained moderate in the third quarter, but strengthening headwinds are likely to weaken growth in the fourth quarter and the first quarter of next year. Following a very strong second quarter, artificially boosted by Irish GDP figures, we now expect average growth of 1.0% in 2026. Assuming energy prices normalise in 2027, growth should average 1.2% next year.

Second-round effects remain more moderate than in 2022-23
Survey on selling price expectations



Source: LSEG Datastream

Second-round inflation effects remain moderate

The eurozone's harmonised index of consumer prices (HICP) inflation rose to 3.8% in September, with underlying inflation at 2.5%. Energy prices are likely to lift the headline rate further in the coming months, while food prices, which are highly sensitive to energy costs, are also trending higher. Inflation is therefore likely to end the year above 4%.

At the same time, second-round effects remain muted. They may still emerge, but we do not expect a repeat of the full-blown inflation wave of 2022-23. Business surveys show that selling-price expectations have risen less than they did four years ago, suggesting firms have less pricing power as consumers turn more cautious. We expect inflation to fall back to an average of 2.5% next year.

One last rate hike?

We still expect one more European Central Bank rate hike, although higher bond yields are already doing much of the ECB's work. Markets have moved towards our view, scaling back expectations from almost four increases to around one. Given the bond market unrest, we also expect the ECB to halt quantitative tightening before year-end, echoing earlier moves by the Federal Reserve and the Bank of England.

China steps up policy support amid rising uncertainty

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China's recent State Council meeting appeared to signal a more proactive policy push amid flagging growth. Even though trade ties with key partners such as the US and EU look more stable, global risks abound as 2027 approaches

Trade ties may be calmer, but Beijing's global challenges are far from over

State Council meeting triggers new targeted policy support

China's State Council meeting on 28 September called for stronger countercyclical policy adjustments. The following day, the People's Bank of China cut the one-year pledged supplementary lending rate by 25bp to 1.5%. It also increased re-lending quotas for technology and equipment upgrades and for rural and small businesses. Beijing announced the first-ever nationwide mortgage interest subsidy for first-time homebuyers to boost the struggling property market.

The package maintains an accommodative policy direction but relies on targeted tools and fiscal-monetary coordination rather than broad-based rate cuts.

Overall, these moves are likely to offer modest support to investment and housing at a time when credit demand is likely to remain under pressure amid weak sentiment.

There remains room for further support measures, such as policies to boost employment and incomes and other measures to boost domestic demand. Should economic momentum remain subdued into year-end, policymakers may respond with further fiscal stimulus and a broader easing of monetary policy.

External trade ties stable for now, but risks remain

President Xi's visit to the US in September continued the "constructive strategic stability" framework agreed in May. It secured a short-term extension of the trade truce to January 2027, and $30bn of tariff cuts on both sides.

It's possible the leaders will meet again at the APEC summit in Shenzhen on 18-19 November and at the G20 meetings in Florida on 14-15 December.

Aside from the US, possible tensions with the EU have also grabbed the spotlight over the past month. A joint letter from German Chancellor Friedrich Merz and French President Emmanuel Macron calling for tougher trade tools signals increasing risk that we could see trade barriers come into effect. EU-China trade talks concluded with an

initial agreement to ease tensions. It includes reducing hybrid vehicle exports from China to the EU, improving market access, and increasing medical equipment imports from the EU to China. This should keep trade ties stable for now, but further negotiations are still likely ahead.

With the EU representing around 14-15% of China's total exports, the second-largest export market after ASEAN, maintaining stable trade ties remains important for China's outlook**.**

China's inflation remains the exception to the rule

We've seen inflation rise in many economies across the world. But prices in China have largely remained under control. Most worry about a return to deflation more than out-of-control inflation.

Two factors are curbing China's inflation: food and housing. Together, these represent over half of China's CPI basket. Food inflation has been kept low amid an extended downturn in China's pork price cycle. Supply has been aided by advancements in hog megafarms, low feed prices, and general efforts to maintain high levels of food self-sufficiency. Housing prices, meanwhile, have declined amid China's multi-year property bust.

On net, China's inflation looks likely to end the year solidly in positive territory. We expect 0.9% CPI inflation in 2026, firmly positive after three years of flirting with deflation. However, it will once again fall short of the target, raising questions about whether China has successfully escaped deflation. While we believe the worst is likely behind us, downside risks remain.

PPI inflation, on the other hand, averaged 2.0% in the first eight months of the year, peaking at 4.1% year-on-year in June. This suggests industrial prices have moved out of deflation, driven by upstream and select technology sectors. Yet this level is generally still a fair bit lower than in other Asian economies this year.

Why we now expect two Bank of England rate hikes

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Inflation looks set to briefly top 4% next year and that's likely to trigger a November insurance rate hike from the Bank of England. We tentatively expect that to be followed by another hike in February. But we're still sceptical that we'll see big second-round effects on inflation. We think rates could be cut again by late 2027

The Bank of England has held rates steady throughout the Iran war, but we think that is about to change

Elevated natural gas prices point to a November rate hike

Having kept rates on hold throughout the Iran war, we now expect the Bank of England to deliver two rate hikes, in November and February, for two key reasons:

First, Bank officials have made it increasingly clear that a hike was likely if energy prices didn't significantly fall ahead of the November meeting.

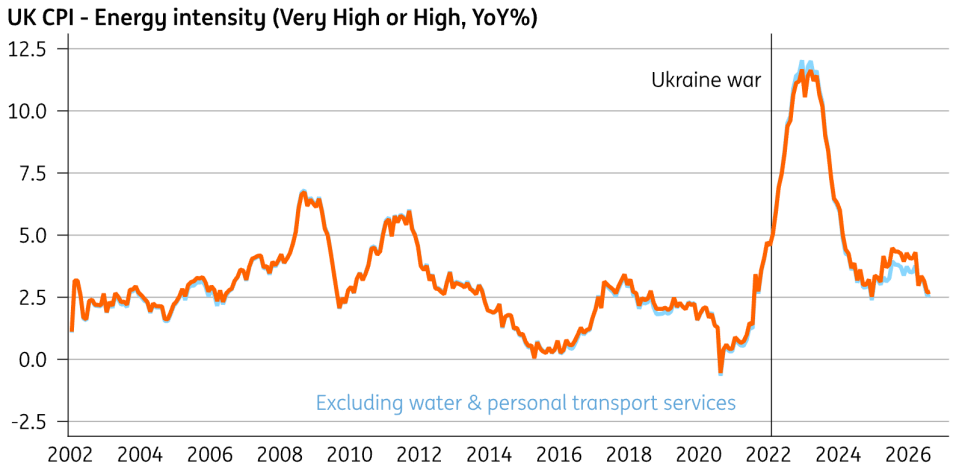
Since early on in the crisis, the Bank has made it clear that, absent the war, it would have cut rates at least twice this year. So by simply not doing that, it has, in effect, tightened policy by 50bp – akin to what the European Central Bank has done so far. A Bank of England hike in November could therefore be placed into the same category as the ECB's well-telegraphed December move.

Second, it's also clear that the inflation profile is likely to become uncomfortably high for the Bank. Last summer, it argued that when inflation surpasses 4%, we are statistically more likely to get second-round effects. And though headline inflation is currently 3.1%, a circa 20% rise in household electricity/gas bills forecast for January could get us there.

That's based on an average of gas futures prices between mid-August and mid-November, so with two-thirds of that window already behind us, there's only limited scope for that rise in bills to be mitigated if wholesale prices suddenly fall. And crucially, our commodities team don't think they will.

Combined with a likely increase in food inflation, it means we're now briefly forecasting 4% CPI in early 2027. The Bank's own November forecasts are likely to show that too.

There's no sign that the energy shock is broadening out



Source: Macrobond, ING calculations

That said, there are still good reasons to think inflation won't become the problem the hawks fear. Last autumn provides a useful precedent: headline CPI got perilously close to 4% yet triggered no discernible pressure elsewhere in the inflation basket. The fundamental reasons for that – like the fragile jobs market and tighter fiscal backdrop – haven't changed. And while it's early days, there's no sign yet that the Iran war is putting upward pressure on energy-sensitive parts of the inflation basket – quite the opposite.

Then there's the forthcoming Autumn Budget, announced a week before November's meeting. This looks increasingly like a non-event – and not something that's likely to add to the case for higher rates. In fact, the Chancellor is likely to do what he can – which isn't much – to cap the rise in inflation next year. That might include taking a greater chunk of 'policy costs' out of household energy bills and funding them out of taxation, thus mechanically limiting the pass-through of gas prices into inflation. We suspect the Treasury will also resist the temptation to boost next year's minimum wage rise over and above independent recommendations (c.4%).

What this all means is that, assuming the BoE does hike, it's likely to be cast as an insurance move. And, like any insurance policy, it can be cancelled later on. Assuming we're right that there won't be big second-round effects, we think rate cuts could be on the agenda before the end of 2027.

That's a very different story from the one markets are telling. Investors are pricing in rates rising by a full percentage point over the next year and remaining at those elevated levels for years afterwards.

AI tailwinds and inflation risks shape Asia's outlook

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Asia's economy remains supported by a robust AI investment cycle, keeping growth stronger than expected despite soft underlying domestic demand. At the same time, broadening inflation pressures are reinforcing the case for further monetary tightening across most Asian economies

Asia's economy remains supported by a robust AI investment cycle

AI tailwinds continue, but momentum is moderating

Asia's growth has remained resilient this year, outperforming expectations, largely driven by a stronger-than-expected AI investment cycle. The AI-related upswing has provided a significant boost to trade, manufacturing activity, and exports, particularly in the region's semiconductor and electronics supply chains. Economies with greater exposure to the AI ecosystem, including Taiwan, Korea, Malaysia and Singapore, have been among the key beneficiaries, with strong external demand helping offset still-soft domestic demand.

The AI boost is still supporting growth, but momentum is beginning to moderate, with AI-related export growth showing early signs of cooling. At the same time, the benefits of the AI cycle remain concentrated in a relatively narrow set of sectors, limiting the extent to which stronger external demand has translated into a broader domestic growth recovery across the region.

Looking ahead to 2027, growth could soften if the AI tailwind fades and weak domestic consumption becomes a more visible drag on activity. Household spending across much of Asia remains constrained by still-high interest rates, soft labour income growth, and weak consumer confidence. As the boost from AI-led exports gradually normalises, underlying domestic demand conditions are likely to play a larger role in determining growth outcomes.

Inflation dynamics point to further policy tightening across Asia

Inflation is accelerating across most of Asia. Food and fuel inflation has begun to accelerate in more import-dependent economies, notably the Philippines. Across most of North Asia, fuel and food inflation remain relatively contained, except for Taiwan.

Hence, the impact of higher food and fuel prices is uneven across Asia. What is most relevant for central bankers is the transmission of these inflation pressures into core inflation. Core inflation has strengthened, especially in economies such as Taiwan,

Singapore, and the Philippines, pointing to firmer underlying price pressures. While in the Philippines and Singapore, the large transmission of global oil prices to domestic prices is the key driver, in Taiwan, the pressures appear more AI-driven.

Looking ahead, El Niño and elevated fuel prices remain key upside risks to inflation. While the impact has been limited so far, signs are emerging that food and fuel price pressures are becoming more broad-based, particularly in the Philippines and Taiwan. Overall, headline inflation remains below central bank targets in Japan and China, but continues to exceed targets in Korea, Taiwan, and most Southeast Asian economies. As a result, we expect rate hikes in all Asian economies under our coverage, including Australia, with China the exception.

FX implications – AI exporters vs oil importers

On currencies, we remain bearish on those where the negative impact of higher oil prices outweighs the positive effects, if any, from the AI boom. South Asian currencies remain vulnerable to higher oil import costs and weaker current account balances. Hence, we expect depreciation pressures to persist for the Indian rupee, Philippine peso, and Indonesian rupiah.

By contrast, we are mildly bullish on the Korean won, Singapore dollar, and Taiwanese dollar, which continue to benefit from strong AI-related exports and rising trade surpluses. These economies have seen external balances strengthen as demand for semiconductors and other technology products remains robust.

CEE: Resilient growth meets diverging policy risks

CEE economies remain resilient to the global supply shock, but policy paths are diverging. The CNB is turning more hawkish as inflation risks rise, while the NBP eyes 1Q27 rate hikes. Hungary awaits a credibility boost from fiscal consolidation, while Romania's improving fiscal position remains overshadowed by political uncertainty and reform risks

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Central Europe is navigating resilient growth, persistent inflation risks and increasingly divergent monetary policy paths

Poland: NBP holds its nerve, but 1Q27 tightening still on the cards

The National Bank of Poland (NBP) remains patient on monetary tightening and continues to postpone rate hikes, even as major central banks have already begun raising interest rates. Although CPI inflation accelerated to 4.0% year-on-year in September, moving not only above the central bank's target but also beyond the upper limit of its tolerance band (2.5%; +/- 1 percentage point), price growth remains largely driven by higher fuel costs.

Core inflation excluding food and energy has changed little since the beginning of the year, and the recent rise in inflation is primarily the result of an external supply-side shock that is beyond the reach of domestic monetary policy. There are still no clear signs of broader inflationary pressures or second-round effects. Wage growth also continues to moderate. By the end of 2026, fuel price pressures should be contained by fiscal measures, including lower excise duties on petrol and diesel and a reduction in VAT on fuels from 23% to 8%. These measures could even be extended until the end of February 2027, while a high base effect from fuel prices will begin to weigh on annual inflation from March next year.

Nevertheless, the prolonged energy crisis increases the risk of higher inflation over the medium term. Regulated natural gas and electricity prices are likely to rise from the beginning of 2027, while favourable developments in food markets appear to be reversing. We therefore expect two 25bp rate hikes by the Monetary Policy Council (MPC) in 1Q27, which would lift the main policy rate to 4.25%.

The November NBP staff macroeconomic projection may mark the start of the rate-hike debate among Polish policymakers, particularly if it points to persistently elevated inflation around the turn of 2026-27 or evidence of second-round effects. Also, the Poland paradox is robust growth but fragile public finances.

Czech Republic: Accelerating prices amid decelerating growth

Headline inflation has just started its climb to its peak and is expected to hit around 4% in February, as renewed price growth in the regulated and foodstuffs segment combines with persistently elevated fuel prices and core inflation. Part of the surge may be attributed to the low comparison base from early 2026, but we believe that the second-round effects from the Hormuz conflict are starting to materialise as the turmoil gains a more permanent shape.

In a textbook response to a major global supply shock, the economy is facing a period of elevated inflation, including spillovers beyond energy into other price categories, alongside a deceleration in economic activity. We expect economic growth to slow to around 1.8% this year before only gradually picking up thereafter.

Real wage growth will be dampened by the surge in inflation, while rising mandatory expenses for food and energy will put a strain on household budgets. Furthermore, firms' pressured profitability will likely prevent excessive nominal wage gains over the upcoming year, as input costs continue to rise amid intense competition. The weaker koruna contributes to galloping import prices, and the CNB is starting to monitor the extent to which the exchange rate loosens overall monetary conditions.

Combine the outlook for forceful imported inflation with the still-robust domestic price pressures, and you end up with a recipe for a higher policy rate needed to prevent inflation from getting out of hand for longer. As FX comes into the spotlight, the steps of the Fed and the ECB may shape the CNB reaction to a greater extent than before. The more hesitant the ECB becomes due to the fragile French fiscal situation, the more it may work in favour of the koruna.

Hungary: Credibility is the next catalyst

The Hungarian economy continues to move away from its prolonged stagnation, although the recovery is still far from spectacular. GDP has now expanded for five consecutive quarters, and we expect growth of 1.9% this year, driven mainly by consumption. Investment remains the missing piece, while net exports are still a drag, although new industrial capacities are increasingly supporting exports. Inflation, meanwhile, continues to surprise on the downside. Despite higher fuel prices, a weaker forint and elevated wage costs, headline inflation reached just 1.6% in September, while core inflation fell to 1.9%. We now expect average inflation of only 1.8% this year and around 3% in 2027. The new 2.5% inflation target from 2028 could provide an additional anchor for price-setting decisions.

This benign inflation backdrop leaves room for further monetary easing, but the external environment remains the key constraint. After pausing at 5.50% in September, we expect the National Bank of Hungary to deliver another 25bp interest rate cut in December, followed by a further 100bp of easing in 2027. Before that, however, fiscal policy could provide the next major catalyst for Hungarian assets. We expect a credible, front-loaded medium-term consolidation plan, accompanied by the first official steps towards ERM II. If policymakers deliver, the resulting decline in Hungary's risk premium could push EUR/HUF towards 350-355 in the short term and trigger another leg of the bond rally. Thereafter, renewed monetary easing should put the forint on a mild depreciation path, but with credibility improving, external balances strengthening and the euro adoption narrative increasingly acting as a policy anchor, we see Hungary entering a new phase of convergence.

Romania: Politics remains on the front page

Stagflationary pressures and political uncertainties continue to dominate the Romanian macro story. Detailed GDP figures for the second quarter confirmed that private consumption was the main culprit, while investments provided one of the strongest

positive contributions to growth on record, on the back of accelerating Recovery and Resilience Facility-related investments. Concerning price pressures, we expect inflation to end the year at 6.5% and average 8.5% throughout 2026, with potential upside risks.

While an investment-driven third quarter is on the cards as well, a continuation of public investment activity through other EU programmes like SAFE and Cohesion funds means that new capital formation should moderate but not fall off a cliff after RRF ends. On the fiscal front, the deficit remains the key positive element supporting Romania's credit story. As of August, the fiscal balance stood at 2.89% of GDP (vs 4.50% in August 2025). A year-end value of 6.0% or less is within reach.

Meanwhile, governance continues to be in "interim" mode, with agreements for a government formation still tricky to be reached. Escaping the downgrade threat in early October remains a key short-term win, although many must-do reforms continue to be on borrowed time. A fully empowered government and a credible medium-term fiscal framework remain necessary to reduce the risk of a downgrade.

CIS 4: Who's afraid of higher core rates?

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Our base case for the regional rates and currencies remains constructive and domestically-driven. But resilience to more persistent global inflation and higher core rates could be put to the test through the exchange rate channel. While we don't expect a sell-off, high real rates will be required to keep attracting portfolio inflows

Higher oil prices are strengthening Azerbaijan's economic buffers

Base is bliss: selectively dovish and FX-constructive

Since the outbreak of Middle East tensions, the CIS-4 has weathered higher volatility, rising global inflation expectations and tighter core rates, easing some of our initial concerns. A gradual deterioration in ING's global base case, or stabilisation, should therefore be broadly neutral for the regional outlook. Higher energy and freight costs lift imported inflation, but CIS-4 currencies, so far resilient to tighter global rates, should keep policy responses country-specific.

Kazakhstan and **Uzbekistan** still have room for cautious monetary easing as inflation falls from high bases and strong currencies dampen external cost pressures. The tenge has strengthened 11% since the Iran war began, supported by capital inflows, while the backlog of state FX sales provides a medium-term cushion. The soum has gained 2% and should benefit from a catch-up in gold exports, supporting FX in the medium term.

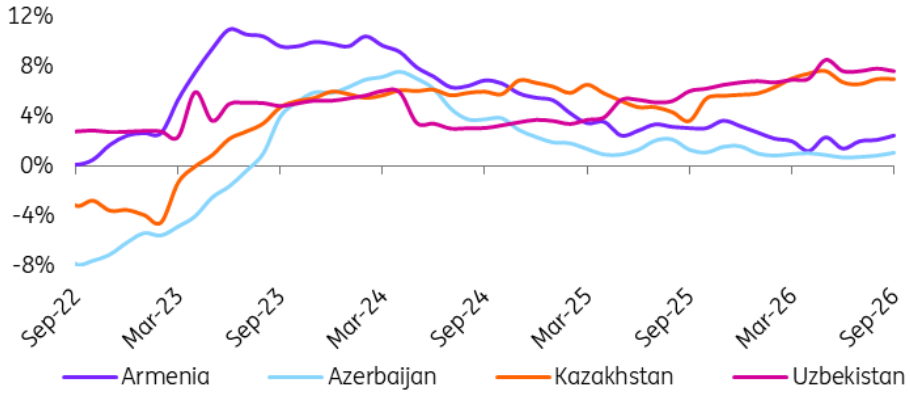
Kazakhstan's inflation has slowed 3ppt this year to 9.3% year-on-year, allowing the National Bank of Kazakhstan to cut the base rate from 18.00% to 16.25%. Uzbekistan's inflation fell almost 1ppt to 6.4%, while its policy rate remains at 14.00%. Meanwhile, inflation remains above both 5% targets, which, combined with domestic demand-side pressures, limits further cuts to 1.0-1.5ppt up to the end of 2027.

Azerbaijan is more stable: higher oil prices reinforce its buffers, while the manat peg limits imported inflation. With CPI within the 4±2% target range, we expect the policy rate to stay at 6.50%.

Armenia remains the hawkish outlier. Tourism and remittance-supported demand has lifted inflation 1ppt this year to 4.3% YoY, above the 3% target. September's 25bp hike to 6.75% appears precautionary, but inflation approaching 5% could warrant another small move.

Kazakhstan and Uzbekistan retain relatively high real rates

Real policy rates in CIS-4 (%), based on CPI over the past 12 months



Source: National sources, CEIC, Refinitiv, ING

Persistent global inflation and higher core rates would put CIS resilience to the test

As the global context this year has a poor track record in fulfilling the base case or optimistic expectations, an alternative and more challenging scenario should be considered. A further spike in commodity prices, which would bring stronger inflation and materially higher core rates, would likely put CIS resilience to a test, with CIS macro sensitivities back in focus.

Higher energy prices. Each additional $10/bbl could lift annual exports by 2-4% of GDP in Azerbaijan and Kazakhstan, although the FX effect is constrained by Azerbaijan's peg and Kazakhstan's export volumes and dividend-outflow dynamics. For Armenia and Uzbekistan, it would add around 0.5% of GDP to import costs.

Imported inflation. Global food prices are already 6% higher YoY. We estimate that each 10% increase could add around 1ppt to the inflation trend in Kazakhstan and Uzbekistan and 1.5-2.0ppt in Armenia and Azerbaijan. Broader exposure to imports from developed markets and the Middle East ranges from 26% in Armenia and 35% in Kazakhstan and Uzbekistan to around 45% in Azerbaijan.

Higher core yields would weaken carry-driven support for the tenge and soum, reducing their insulation from imported inflation. But domestic buffers argue against an indiscriminate sell-off: Kazakhstan has high real rates and a backlog of state FX sales; Uzbekistan will be catching up on delayed gold exports; Armenia can fall back on its remittance inflows and comfortable reserves; and Azerbaijan can rely on its exceptional sovereign assets.

In an adverse global scenario, we therefore see 1-2 ppt upside risk to our medium-term inflation outlook. The cost-driven nature of the shock may not require an immediate policy response, but central banks may need to protect real rates: Armenia could tighten further, Kazakhstan and Uzbekistan have less room to cut, and Azerbaijan's reluctance to hike could be challenged.

The dollar story improves

We see limited scope for a near-term EUR/USD rebound. Key factors for EUR/USD now are a hawkish Fed and a re-pricing of the ECB cycle on French fiscal concerns, which have sent rate differentials to their widest levels since 2022. Neither of those factors appears set for an imminent reversal, leaving EUR/USD to languish in a new 1.10-1.15 range

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EUR/USD looks set to stay pressured on wide rate differentials

Dollar enjoys some cyclical strength

We see EUR/USD remaining in a 1.10-1.15 range over the next three to six months, as persistent US rate support and concerns over French debt keep real rate differentials tilted against the euro.

It is hard to believe that EUR/USD traded above 1.20 in January. Those fears of the dollar losing its safe-haven status as European investors reacted to egregious US foreign policy have dissipated this year as US cyclical strength has become more evident. There are no signs of international investors leaving US markets, and by our calculations, foreigners have kept their share of US bond and equity markets steady at around 20%.

As we argued at the time, 'sell America' moments have occurred in the past and tend to be short-lived. Correlations now suggest the dollar is playing its safe haven role again.

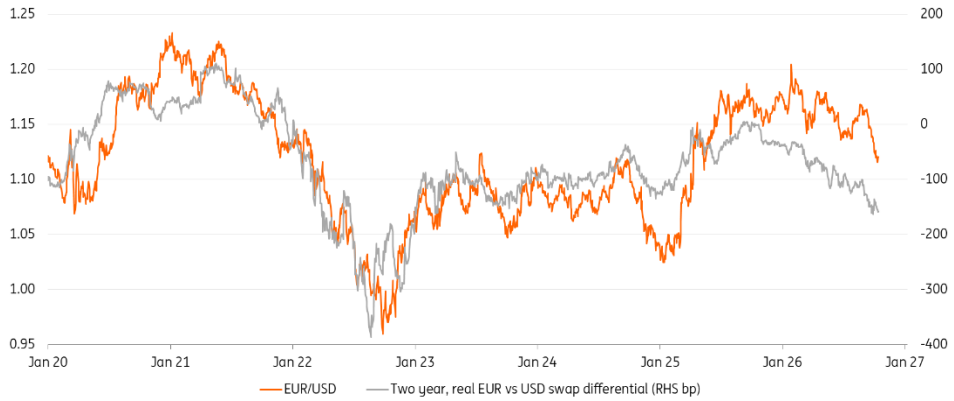
That dollar vulnerability at the start of the year was backed by a weak US employment story and the prospect of further easing. Today, the Federal Reserve is faced with a solid labour market, above-target inflation and the prospect of taking policy into mildly restrictive territory. While we are not looking for the central bank to deliver on all three hikes priced in over the next 12 months, we doubt that the current hawkish Fed pricing will leave the market until next spring. At that point, base effects look likely to bring inflation much closer to the Fed's 2% target.

In contrast, the near 75bp of European Central Bank hikes priced into the market looks more precarious. Heavy losses in French debt dragged euro short-dated swap rates lower in early October, and investors are rightfully questioning how the European Central Bank plans to take policy into restrictive territory at the time of a looming debt crisis.

That growing concern over French debt, which will probably be with us right through to presidential elections next April, should keep real rate differentials wide and keep EUR/USD under pressure. Higher oil and gas prices aren't helping the euro either.

In all, we now see EUR/USD staying offered in a 1.10-1.15 range over the next three to six months, with downside risks should a sharp deterioration in the French debt story demand a greater risk premium for the euro.

Real rate differentials move to 2022 wides



Source: Refinitiv, ING

What could hurt the dollar?

A key risk to our constructive dollar view is a renewed rise in FX hedge ratios among foreign investors. While confidence in the dollar has pushed hedge ratios back to very low levels, any renewed White House intervention in financial, trade or foreign policy could prompt investors to increase hedging and weigh on the dollar.

A big topic for FX strategists over the last 18 months has been foreign investor FX hedge ratios on US assets. Data suggests these have returned to very low levels again as confidence has returned to the dollar story. As we witnessed briefly in August, when the US Treasury extended the duration of its Treasury buy-back operations, the dollar was hit by White House intervention in financial markets. Any fresh White House intervention in financial, trade or foreign policy, perhaps after the November midterms, could see the dollar come under pressure as investors raise hedge ratios again.

On the subject of the midterms, the base case of the Democrats winning the House looks unlikely to move FX markets much. But a Democratic clean sweep of Congress, and what it means for a potential government shutdown, regulation, and constraints on the AI build-out, could prove a cyclical negative for the dollar.

Calmer, but dodgy overshoot risks remain

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We've managed to get through a week without mapping out new multi-decade highs in various long yields and spreads. That's great, but we'd not get too comfortable. Many of the drivers of prior stresses remain in play. And muddy developments in the Ukraine and Iran wars make for difficult interpretation – enough to keep us all on edge, at least

The mood for US Treasuries has calmed. But don't get too comfortable

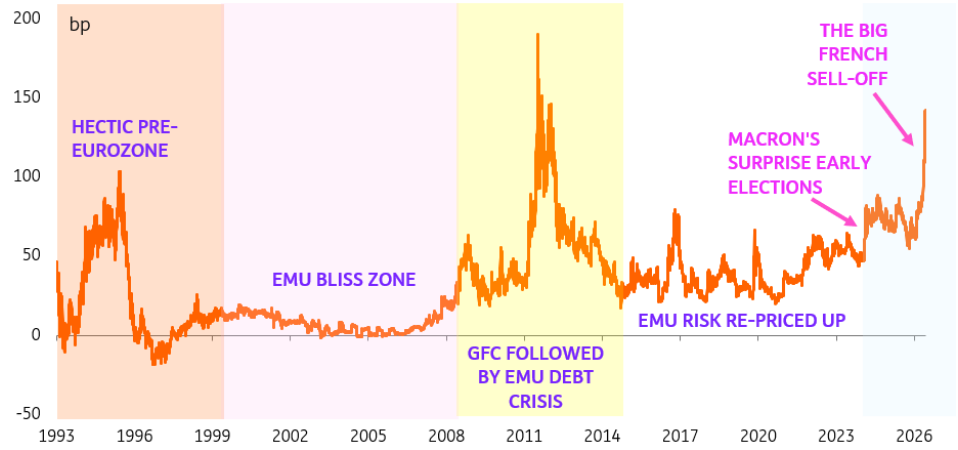
Long-end yields have calmed in the past week or so. But pressures remain. The medium-term issuance narrative stemming from fiscal largesse remains. That's the 'bad'. Then there's the 'ugly', in the guise of energy price pressure stemming from the Iran war. That has coincided with higher printed inflation. Arguably, this is the biggest direct impact, as it has prompted central bank rate hikes. And there is the 'good'. Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last part was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters.

The balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. This could take the US 10-year yield back into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. With 5.25% looking like a mean-reversion level, we think the US 10-year yield could overshoot towards 5.5% and remain elevated for a number of months as bond market jitters persist. This could quite easily extend into the first quarter of 2027.

For later in 2027, we think inflation will come down, and long rates should too. On the growth side, we have a 2% real growth forecast tendency for 2027. If we're wrong and we're on the verge of a macro boom (and/or persistently elevated inflation), that's a whole other story, and it would be a route to 5.5-6%. The other way to get there could be the US fiscal story finally unravelling in a bad way, but we aren't quite sure we can call for that yet as a baseline view.

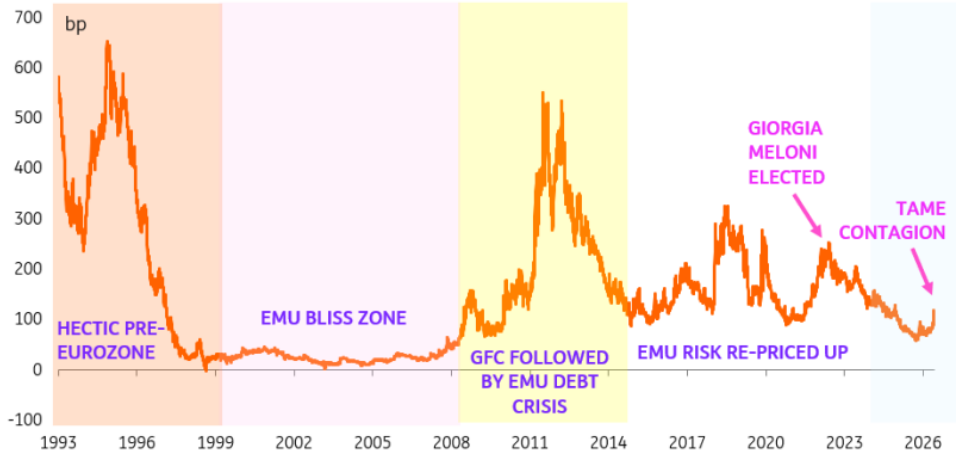
For 2027, we have growth of 2% and inflation of 2% (or slightly above on both counts). That points to 4.75%, representing a mild upside bias relative to the 4.5% level we view as broadly neutral. But first, we need to get through 2026.

The big French widening
France 10yr yield spread over Germany 10yr yield



Source: Macrobond, ING estimates

Relatively tame Italian contagion
Italy 10yr yield spread over Germany 10yr yield



Source: Macrobond, ING estimates

The eurozone remains in the throes of an uneasy holding pattern at dodgy levels

The focus in the eurozone is increasingly insular, with France front and centre and setting the mood. Here too, there has been some market stability – but at uncomfortable levels. The standout move has been a doubling of the French 10yr swap spread from the 60bp area to the 120bp area. And French spreads to Germany are practically as wide as they've ever been since the dawn of the euro, even versus the immediate pre-EMU years. The safe narrative to reach for is the debt dynamics one, and the lack of ambition to correct it. Made worse, in fact, by the political options being offered for 2028.

This is probably overdone, as a swing to the right (should it occur) could have some tail positives that aren't currently properly discounted. Look at the improvement seen in Italian spreads following the rise of Prime Minister Giorgia Meloni. It's been gradual but persistent, and has not been overly impacted by French concerns. In that sense, the Italian response has been low beta in characterisation, which is good.

In fact, the first real bout of widening in French spreads can be traced back to President Emmanuel Macron's election gamble of mid-2024. Things subsequently calmed, but were not forgotten. The recent spike is an amplification and extension of an underlying tension that has not gone away. So, overdone? Probably, yes. But we also remain in a danger zone for bonds generally. Just like in the US, more overshoots to the upside are entirely foreseeable.

GDP forecasts

QoQ% Annualised (avg)	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
US	2.2	3.4	2.6	2.2	1.9	2.2	2.2	2.4	2.4
Japan	1.1	0.4	1.2	0.8	1.2	1.2	0.8	0.7	1.0
Germany	1.3	0.4	0.8	0.8	1.2	1.5	1.5	1.2	1.2
France	0.0	0.0	0.4	0.8	0.8	1.2	0.8	0.3	0.6
UK	2.1	1.9	0.3	0.8	1.9	1.1	1.5	1.4	1.2
Italy	0.7	0.6	0.5	0.6	0.9	0.9	1.0	0.9	0.7
Canada	3.3	2.0	1.5	2.2	2.0	2.1	2.0	1.0	2.1
Australia	1.8	1.6	1.5	2.1	2.1	2.1	2.1	1.9	2.1
Eurozone	2.6	1.1	0.8	0.7	1.4	1.5	1.4	1.0	1.2
Austria	-0.6	1.2	0.8	1.0	1.5	1.6	1.5	0.5	1.1
Spain	1.0	1.7	1.3	1.7	1.6	2.1	2.1	2.2	1.9
Netherlands	2.6	1.8	1.6	1.2	1.9	1.2	1.3	1.7	1.6
Belgium	0.1	0.8	0.8	1.2	1.6	1.2	1.2	0.6	1.1
Greece	1.4	2.2	0.7	0.9	2.9	1.6	1.7	1.7	1.6
Portugal	1.3	1.3	1.6	2.0	2.0	2.0	2.0	2.0	1.8
Switzerland	6.1	0.6	1.2	1.2	1.6	1.6	1.2	1.9	1.6

Emerging Markets, (YoY% growth)	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
Bulgaria	2.7	2.6	2.3	2.3	2.2	2.3	2.3	2.6	2.3
Croatia	2.2	2.1	1.2	1.8	1.9	2.0	2.0	1.9	1.9
Czech Republic	1.8	1.7	1.5	2.0	2.3	2.3	2.4	1.8	2.3
Hungary	1.7	1.6	2.5	2.3	3.3	3.3	3.4	1.9	3.1
Poland	3.9	3.5	2.9	3.6	3.5	3.0	2.9	3.4	3.2
Romania	-2.0	-1.1	1.5	1.8	2.5	2.4	2.1	-0.5	2.2
Turkey	2.3	3.2	2.9	3.5	4.0	4.5	5.8	2.8	4.5
Serbia	3.6	3.3	2.8	3.3	3.0	3.4	3.4	3.3	3.3
Azerbaijan	1.7	2.8	1.7	3.0	3.5	2.0	3.5	1.5	3.0
Kazakhstan	5.0	5.5	6.5	5.5	5.0	4.5	4.0	5.0	4.8
Russia	1.3	0.5	0.5	1.5	1.0	0.0	0.5	0.5	0.8
Uzbekistan	8.4	7.5	7.3	7.3	6.7	6.2	6.5	8.0	6.7
Ukraine	0.4	1.5	1.6	2.9	2.2	2.5	2.7	0.8	2.6
China	4.3	4.4	4.5	4.0	4.8	4.4	4.3	4.6	4.4
India	7.8	7.0	6.5	6.5	6.5	6.5	6.5	7.5	6.5
Indonesia	5.3	5.0	5.0	5.0	5.0	5.0	5.0	5.1	5.0
Korea	3.7	3.6	4.4	3.0	3.0	2.2	2.0	3.9	2.5
Philippines	2.3	3.5	4.0	5.5	5.5	5.5	5.5	3.2	5.5
Singapore	5.9	4.3	3.5	3.0	2.7	2.7	2.7	5.0	2.8
Taiwan	12.9	11.4	6.4	6.5	6.2	7.4	8.6	11.1	7.2

Norway: Forecasts are mainland GDP
Source: ING estimates

CPI Forecasts (pa)

YoY% (avg)	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
US	2.7	3.8	3.5	3.7	3.1	2.1	2.2	1.9	3.4	2.3
Japan	1.4	1.6	1.8	1.9	2.4	2.6	2.3	2.0	1.7	2.3
Germany	2.2	2.7	3.1	3.6	3.3	2.8	2.5	2.0	2.9	2.6
France	1.1	2.4	2.8	3.3	2.8	1.9	1.4	1.2	2.4	1.8
UK	3.1	2.8	3.1	3.6	3.8	3.4	3.0	2.6	3.2	3.2
Italy	1.4	3.0	3.4	4.1	3.8	2.8	2.3	1.7	3.0	2.6
Canada	2.2	2.9	3.0	2.9	2.7	2.1	2.1	2.1	2.8	2.3
Australia	4.1	3.9	4.0	4.0	3.5	3.5	3.2	3.2	4.0	3.4
Eurozone	2.0	3.2	3.3	4.1	3.7	2.5	1.9	1.8	3.2	2.5
Austria	2.5	3.4	3.0	3.4	3.3	2.5	2.1	2.0	3.1	2.5
Spain	2.7	3.6	3.8	4.1	3.7	2.6	2.3	2.2	3.5	2.8
Netherlands	2.3	2.8	2.9	3.0	3.6	3.1	2.7	2.3	2.8	2.9
Belgium	1.4	3.8	4.1	5.1	4.5	4.0	3.2	1.9	3.6	3.5
Greece	3.1	4.4	3.8	5.0	4.5	3.3	3.1	2.1	4.1	3.3
Portugal	2.2	2.9	2.9	3.3	2.7	2.1	2.0	2.0	2.8	2.2
Switzerland	0.2	0.6	0.7	0.9	0.8	0.6	0.8	0.8	0.6	0.7
Bulgaria	3.6	6.4	5.0	5.4	5.0	2.6	2.7	2.6	5.1	3.3
Croatia	4.0	5.2	4.3	4.4	3.4	2.9	3.0	3.2	4.5	3.1
Czech Republic	1.6	2.0	2.0	3.1	3.8	3.6	3.3	2.7	2.2	3.4
Hungary	1.8	1.9	1.4	2.0	2.2	2.6	3.1	3.0	1.8	2.8
Poland	2.4	2.9	3.5	3.6	3.8	3.8	2.7	2.1	3.1	3.1
Romania	9.6	10.6	7.0	6.6	6.0	5.0	4.0	3.6	8.5	4.7
Turkey	30.9	32.1	29.7	29.0	26.9	25.0	24.8	25.0	30.8	25.0
Serbia	2.6	3.2	2.7	3.7	4.1	3.9	4.3	4.5	3.0	4.2
Azerbaijan	5.7	5.6	5.7	5.9	5.7	5.7	5.4	5.4	5.7	5.6
Kazakhstan	11.6	10.4	9.8	10.0	10.1	10.2	9.8	9.3	10.5	9.8
Russia	5.9	5.6	6.2	0.0	6.2	6.2	5.7	5.0	6.2	5.9
Uzbekistan	7.2	6.3	6.3	6.4	6.5	6.6	6.2	6.9	6.5	6.6
Ukraine	7.6	8.0	8.6	11.5	11.7	11.9	10.5	9.0	8.9	10.8
China	0.8	1.1	0.7	0.9	1.0	1.3	1.4	0.8	0.9	1.1
India	3.1	3.9	4.8	5.8	4.5	4.8	4.8	5.0	4.4	5.0
Indonesia	3.9	2.9	3.1	3.4	3.1	2.9	3.0	3.0	3.3	3.0
Korea	2.1	3.0	3.0	2.9	2.5	2.3	2.0	1.7	2.8	2.1
Philippines	2.8	6.8	6.5	5.7	5.0	3.5	3.5	3.5	5.5	4.0
Singapore	1.5	1.8	2.4	2.3	2.0	2.0	2.0	2.0	2.0	2.0
Taiwan	1.2	2.2	2.5	2.6	2.4	1.9	1.6	1.6	2.1	1.9

*Quarterly forecasts are quarterly average; yearly forecasts are average over the year, HICP for Eurozone economies

Source: ING estimates

Oil and natural gas forecasts (avg)

	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
Brent ($/bbl)	78	97	91	80	75	68	70	69	87	71
Dutch TTF (EUR/MWh)	40	46	64	75	70	45	37	35	56	47

Source: ING estimates

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France's political and fiscal challenges have sparked comparisons with the eurozone debt crisis. But while some warning signs look familiar, key differences mean today's France is not Greece in 2010 and fears of a new euro crisis are overblown

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2009 budget deficit would be around 12.7% of GDP, roughly double what Athens had previously reported. Eurostat later put the final figure at 15.4%. Overnight, the problem was no longer the size of the hole; it was that nobody had known how deep it was. Suspicion that Greece had fought its way into eurozone membership with creative accounting accompanied the entire euro crisis.

After the statistical revelation, the numbers were brutal: public debt was close to 130% of GDP and heading for 150%. The current account deficit had hit around 15% of GDP in 2008: Greece was borrowing abroad not only to fund its state but its entire economy. Unit labour costs in Greece had risen much faster than in Germany

since euro entry. Interestingly, markets did not panic at once. When the revision came out, the 10-year Greek spread over Bunds was around 130bp, about where France trades now. It took six months of failed promises, rating downgrades and EU dithering to turn that into a funding crisis.

Shortly before Greece finally received a European bailout, and the infamous troika of the European Commission, the ECB and IMF basically took over policymaking in Greece, the spread between Greek and German debt was above 900bp. And actually it was above 3000bp two years later, at the time of the second bailout and haircuts on Greek debt.

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new European (rescue) institutions, as well as the political will in European capitals to implement austerity measures and structural reforms, to stop the crisis.

Why France is not Greece

We receive many questions about whether France is the new Greece and whether we are stumbling into the next euro debt crisis. And, indeed, at least at first glance, some numbers are worrying: France's debt ratio is now similar to that of Italy in 2011 and Greece in 2009. The French fiscal deficit is wider than Italy's was then. The primary deficit – the gap before interest – is close to 3% of GDP.

Closing it requires a political consensus that France has not produced since the 1970s. Most worrying is the French track record of missing its own and European targets for years, if not decades. Greece's credibility was destroyed by false statistics; France's is being eroded by false promises and the inability or unwillingness to start fiscal and structural reforms.

While these elements are clearly frightening, there are also significant differences between France now and Greece back then. While Greece had a substantial current account deficit, France's current account is basically in balance, the household savings rate is at around 18% and the effective interest rate France pays on its w
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Debt crisis 2.0? Why France isn't the new Greece

Economy

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ING Monthly: Same fears, different crisis

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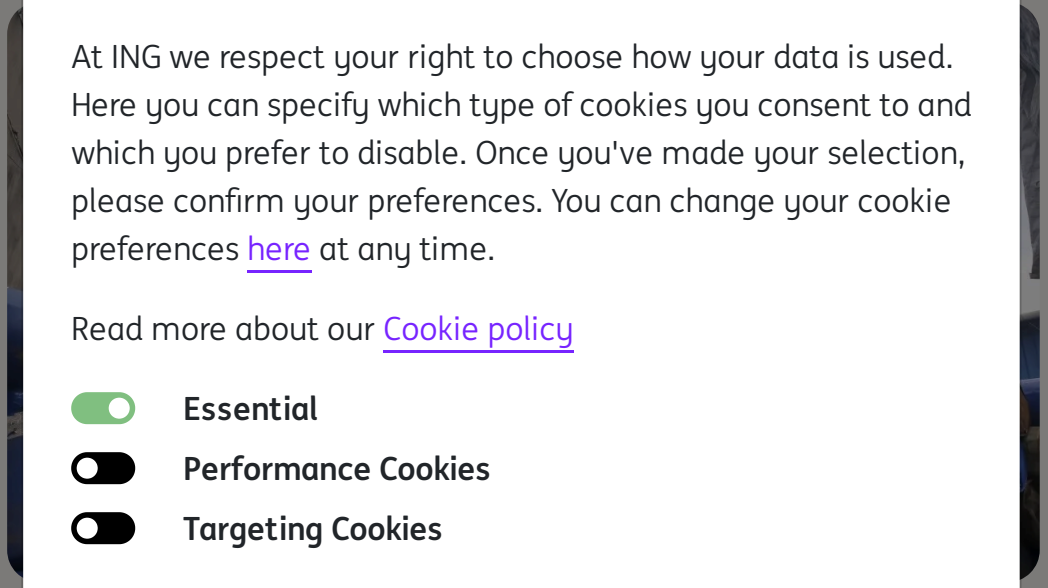
Oil prices remain firm despite rising supply from the Persian Gulf. We expect oil prices to trade lower into year-end. More positive signs of a potential US-Iran deal would give us more confidence in this view. Meanwhile, European gas looks vulnerable heading deeper into the heating season

V



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Persian Gulf oil flows pick-up

There are few signs of de-escalation in the Middle East. If anything, it appears as though the conflict is broadening, with the Houthis in Yemen increasingly targeting Saudi Arabia. Despite little improvement in the geopolitical environment, oil flows from the Persian Gulf have been trending higher with supply from the region returning to 70-75% of pre-war levels, although there are some estimates suggesting we could be back to as high as 80-90% of pre-war flows.

The fact that oil prices are well-supported despite the improvement in flows from the region appears to reflect concerns over how sustainable this supply is, particularly when considering the geopolitical backdrop. The market continues to price in a large risk premium in the absence of a deal between the US and Iran. And to see this risk premium erode, the market may need the comfort of a deal. Failing that, time may be enough for oil prices to trend lower, assuming supplies from the region continue to hold up. For now, we are holding onto our 4Q26 Brent forecast of $80/bbl and FY27 forecast of $71/bbl. However, given the high level of uncertainty, this is a low-conviction call, specifically for 4Q26.

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are likely to remain elevated.

Natural gas vulnerable heading into heating season

European natural gas prices have traded at their highest level since December 2022, with supply concerns growing as the region heads into the heating season. Unfortunately for the natural gas market, we have not seen a similar recovery in LNG flows from the Persian Gulf as we have with oil. Therefore, LNG flows from the region remain down about 80% year-on-year. The market is increasingly

accepting that Persian Gulf LNG could remain largely absent from global markets for much of the Northern Hemisphere winter. This means Asia and Europe will continue competing for spot cargoes throughout the winter, keeping prices well supported and leaving the market vulnerable to further spikes.

European gas storage remains a concern, at just under 75% full, well below the five-year average of 89%. Low storage has seen the German government instruct state-owned SEFE to buy and store an additional 8TWh of natural gas by 15 December. The prospect of essentially forced buying provides further support to the market.

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WTI TTF Strait of Hormuz Russia-Ukraine Persian Gulf Natural gas Monthly Economic Update Middle East LNG Geopolitics Freight Energy prices Diesel Brent

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A look at how inflation could become even more problematic due to the worsening energy picture, AI bottlenecks and a stronger-than-expected jobs market – and what that would all mean for the central banks

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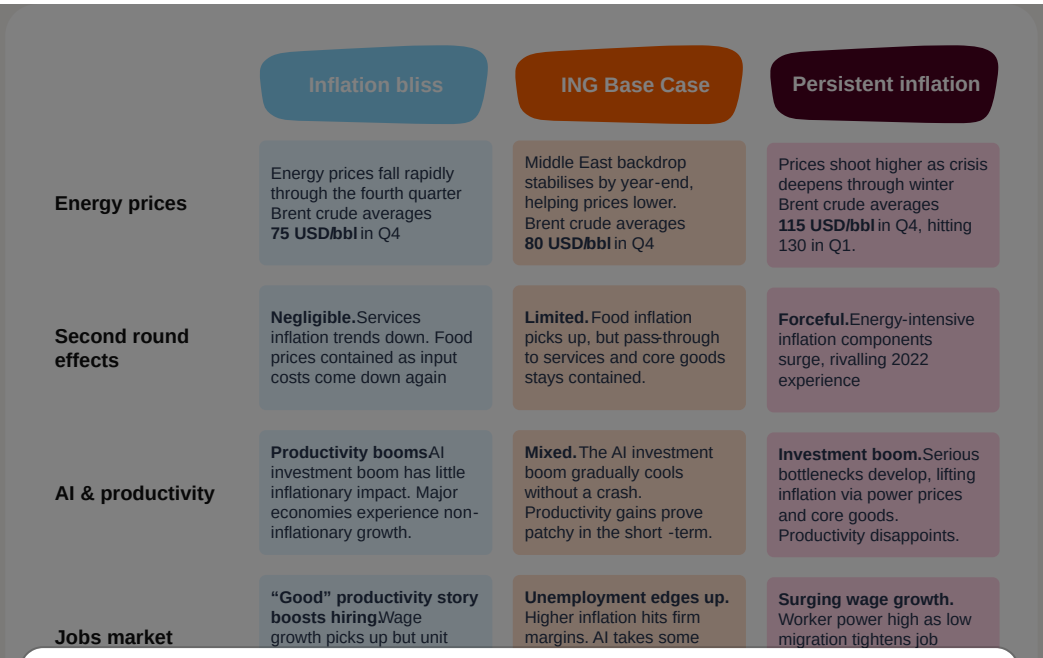

	Inflation bliss	ING Base Case	Persistent inflation
Energy prices	Energy prices fall rapidly through the fourth quarter Brent crude averages **75 USD/bbl** in Q4	Middle East backdrop stabilises by year-end, helping prices lower. Brent crude averages **80 USD/bbl** in Q4	Prices shoot higher as crisis deepens through winter Brent crude averages **115 USD/bbl** in Q4, hitting 130 in Q1.
Second round effects	**Negligible.** Services inflation trends down. Food prices contained as input costs come down again	**Limited.** Food inflation picks up, but pass-through to services and core goods stays contained.	**Forceful.** Energy-intensive inflation components surge, rivalling 2022 experience
AI & productivity	**Productivity booms** AI investment boom has little inflationary impact. Major economies experience non-inflationary growth.	**Mixed.** The AI investment boom gradually cools without a crash. Productivity gains prove patchy in the short -term.	**Investment boom.** Serious bottlenecks develop, lifting inflation via power prices and core goods. Productivity disappoints.
Jobs market	**"Good" productivity story boosts hiring** Wage growth picks up but unit	**Unemployment edges up.** Higher inflation hits firm margins. AI takes some	**Surging wage growth.** Worker power high as low migration tightens job

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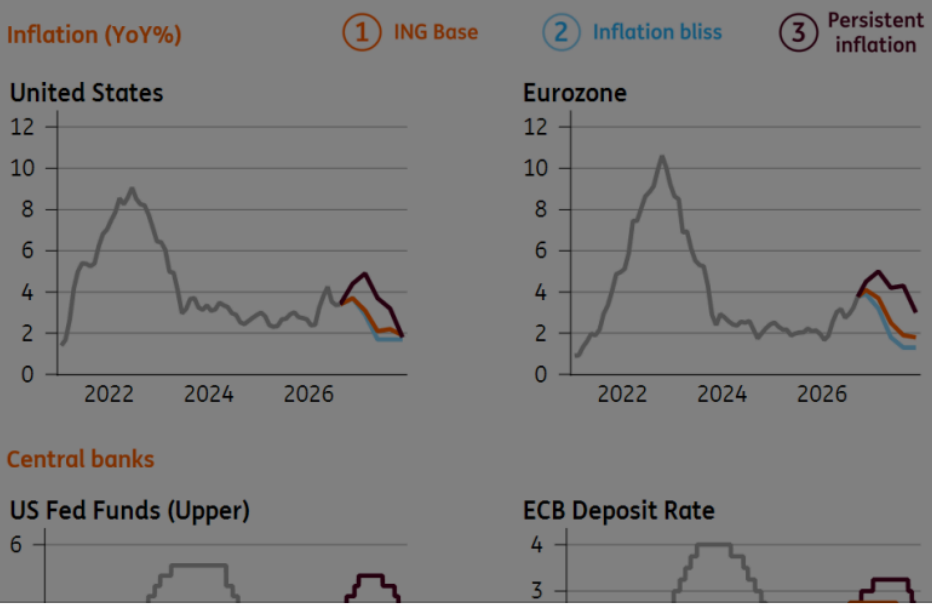
Three scenarios for inflation and central banks



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Fed Funds Rate (%)	4.0	4.25	4.25	4.25	4.25	4.00	4.00	4.00	3.50	3.25	3.00	4.50	5.00	5.25	5.25	5.00
2Y EUR swap rate (%)	3.40	3.30	3.25	3.15	3.00	2.85	3.10	2.80	2.50	2.10	2.20	4.00	4.50	4.00	3.75	3.00
10Y EUR swap rate (%)	3.55	3.50	3.40	3.35	3.20	3.15	3.40	3.20	2.70	2.30	2.30	4.00	4.30	4.20	4.10	3.90
2Y USD swap rate (%)	4.72	4.50	4.40	4.30	4.05	3.80	4.40	3.80	3.30	3.00	2.40	5.00	6.00	5.50	5.15	4.50
10Y USD swap rate (%)	4.86	4.75	4.75	4.50	4.20	4.20	4.70	4.30	3.50	3.20	2.80	5.25	5.75	5.60	5.50	5.40
EUR/USD	1.11	1.13	1.13	1.16	1.16	1.17	1.14	1.17	1.19	1.19	1.24	1.11	1.06	1.07	1.08	1.09

Source: ING

Scenarios | Inflation | Central banks

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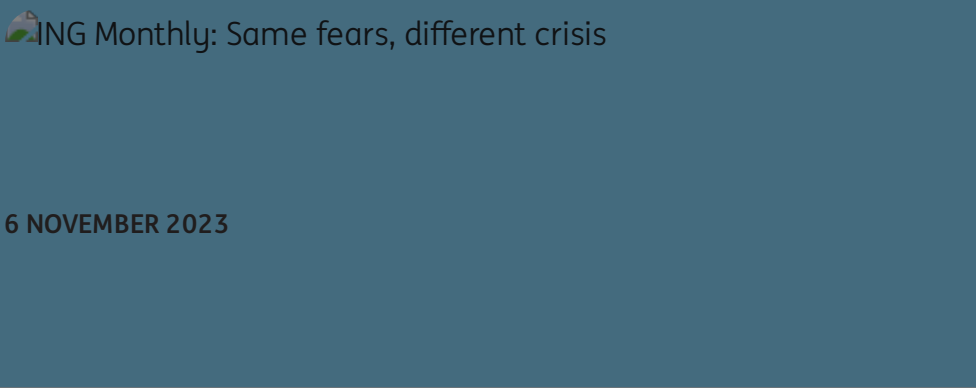

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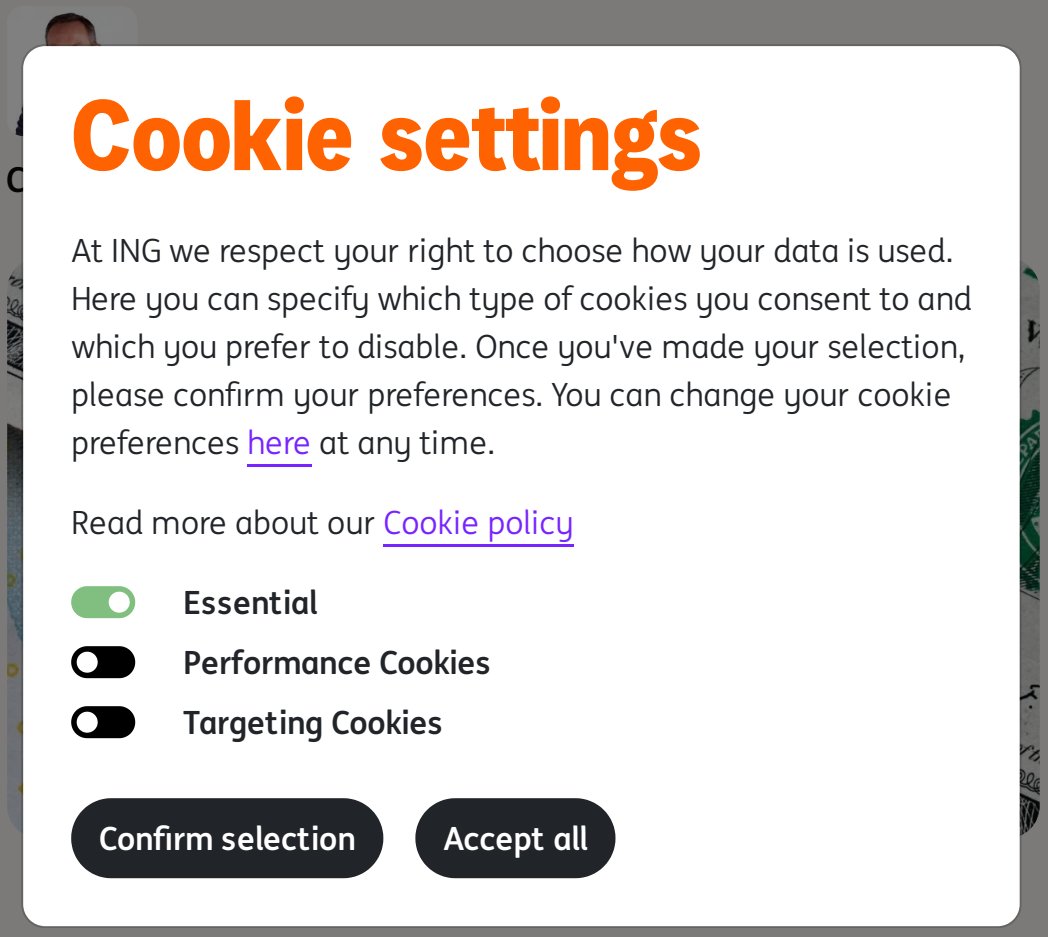
We see limited scope for a near-term EUR/USD rebound. Key factors for EUR/USD now are a hawkish Fed and a re-pricing of the ECB cycle on French fiscal concerns, which have sent rate differentials to their widest levels since 2022. Neither of those factors appears set for an imminent reversal, leaving EUR/USD to languish in a new 1.10-1.15 range



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Dollar enjoys some cyclical strength

We see EUR/USD remaining in a 1.10-1.15 range over the next three to six months, as persistent US rate support and concerns over French debt keep real rate differentials tilted against the euro.

It is hard to believe that EUR/USD traded above 1.20 in January. Those fears of the dollar losing its safe-haven status as European investors reacted to egregious US foreign policy have dissipated this year as US cyclical strength has become more evident. There are no signs of international investors leaving US markets, and by our

calculations, foreigners have kept their share of US bond and equity markets steady at around 20%.

As we argued at the time, 'sell America' moments have occurred in the past and tend to be short-lived. Correlations now suggest the dollar is playing its safe haven role again.

That dollar vulnerability at the start of the year was backed by a weak US employment story and the prospect of further easing. Today, the Federal Reserve is faced with a solid labour market, above-target inflation and the prospect of taking policy into mildly restrictive territory. While we are not looking for the central bank to d
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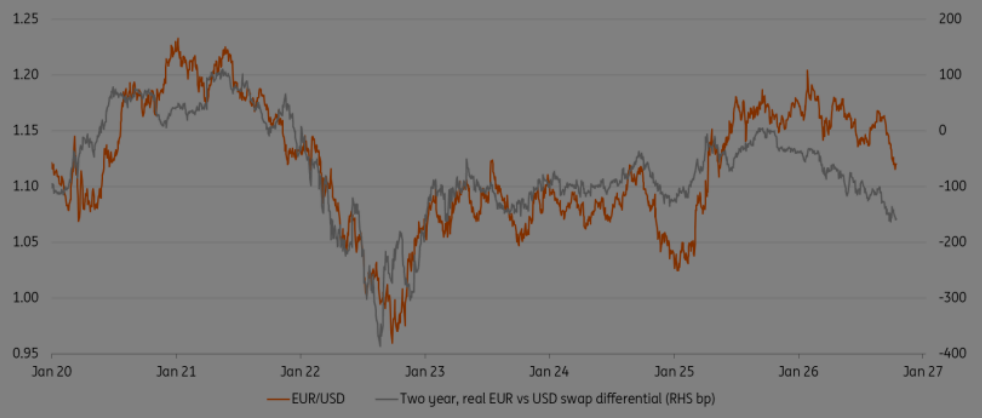
In all, we now see EUR/USD staying offered in a 1.10-1.15 range over the next three to six months, with downside risks should a sharp deterioration in the French debt story demand a greater risk premium for the euro.

Real rate differentials move to 2022 wides



Source: Refinitiv, ING

What could hurt the dollar?

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come under pressure as investors raise hedge ratios again.

On the subject of the midterms, the base case of the Democrats winning the House looks unlikely to move FX markets much. But a Democratic clean sweep of Congress, and what it means for a potential government shutdown, regulation, and constraints on the AI build-out, could prove a cyclical negative for the dollar.

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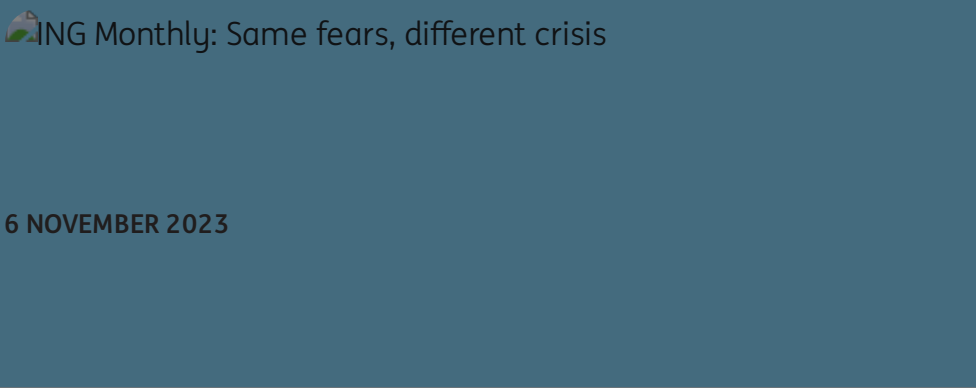

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We've managed to get through a week without mapping out new multi-decade highs in various long yields and spreads. That's great, but we'd not get too comfortable. Many of the drivers of prior stresses remain in play. And muddy developments in the Ukraine and Iran wars make for difficult interpretation – enough to keep us all on edge, at least

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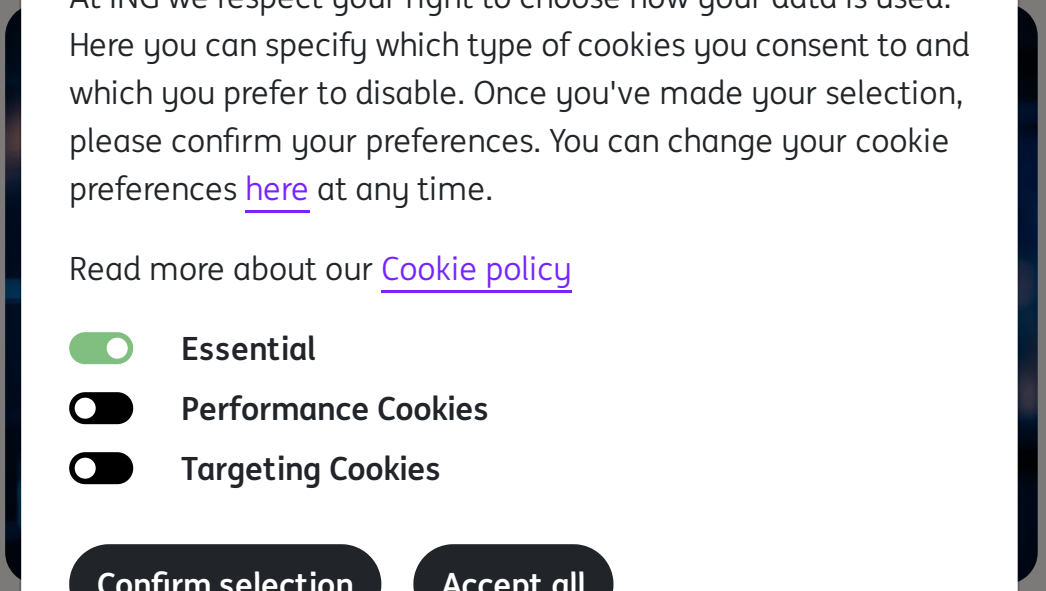

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The mood for US Treasuries has calmed. But don't get too comfortable

Long-end yields have calmed in the past week or so. But pressures remain. The medium-term issuance narrative stemming from fiscal largesse remains. That's the 'bad'. Then there's the 'ugly', in the guise of energy price pressure stemming from the Iran war. That has coincided with higher printed inflation. Arguably, this is the biggest direct impact, as it has prompted central bank rate hikes. And there is the 'good'. Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last part was the central driver, we'd have little to

worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters.

The balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. This could take the US 10-year yield back into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. With 5.25% looking like a mean-reversion level, we think the US 10-year yield could overshoot towards 5.5% and remain elevated for a number of months as bond market jitters persist. This could quite easily extend into the first quarter of 2027.

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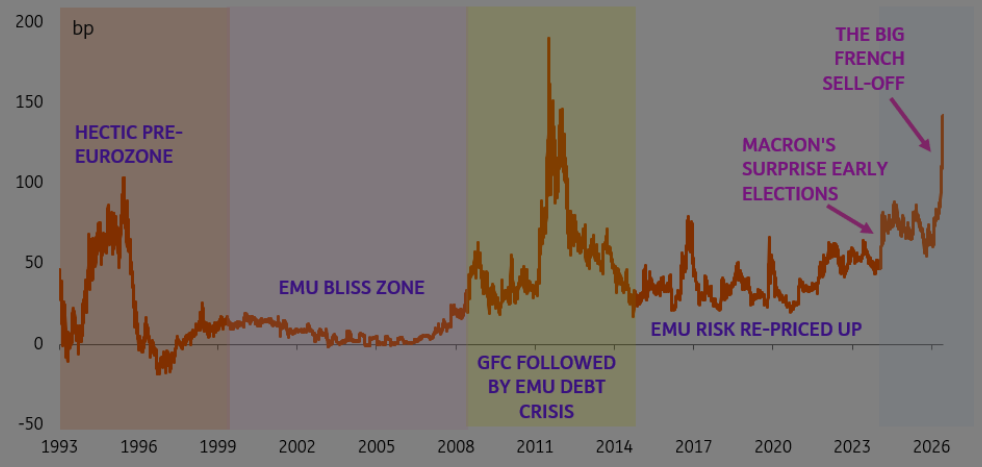
The big French widening

France 10yr yield spread over Germany 10yr yield



Source: Macrobond, ING estimates

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The eurozone remains in the throes of an uneasy holding pattern at dodgy levels

The focus in the eurozone is increasingly insular, with France front and centre and setting the mood. Here too, there has been some market stability – but at uncomfortable levels. The standout move has been a doubling of the French 10yr swap spread from the 60bp area to the 120bp area. And French spreads to Germany are practically as wide as they've ever been since the dawn of the euro, even versus the immediate pre-EMU years. The safe narrative to reach for is the debt dynamics one, and the lack of ambition to

correct it. Made worse, in fact, by the political options being offered for 2028.

This is probably overdone, as a swing to the right (should it occur) could have some tail positives that aren't currently properly discounted. Look at the improvement seen in Italian spreads following the rise of Prime Minister Giorgia Meloni. It's been gradual but persistent, and has not been overly impacted by French concerns. In that sense, the Italian response has been low beta in characterisation, which is good.

In fact, the first real bout of widening in French spreads can be t
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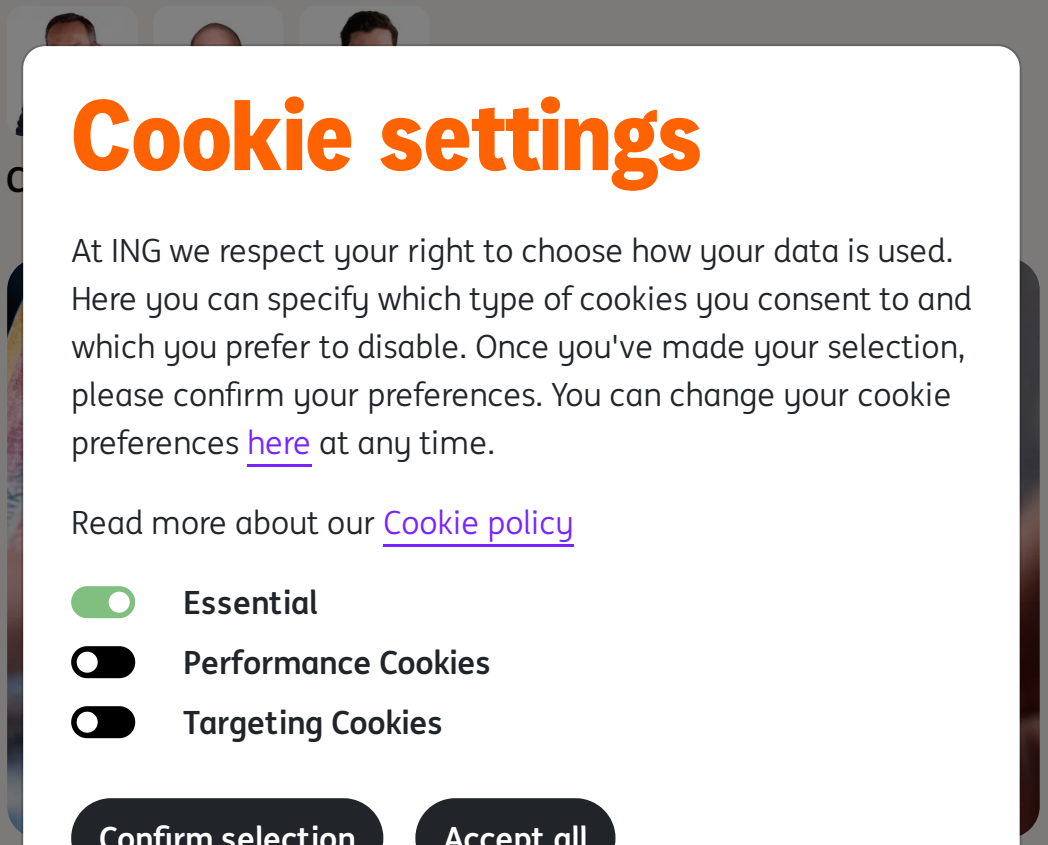
The market reaction to the hot September US CPI did not last long. Within hours, the spike higher in short-dated US yields and the dollar reversed as the market switched its attention to the sell-off in the debt markets of some high-profile AI companies. Outperforming has been the Swiss franc, serving as a preview for what happens when AI goes wrong



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USD: AI funding in focus

The DXY dollar index briefly touched a new high for the year yesterday, before reversing quite sharply in Asia overnight. The dollar rally followed some hot US CPI data, which questioned whether the Fed, after all, would have to deliver a back-to-back hike in October. However, within hours, US short-dated yields and the dollar had more than reversed their gains. Driving the move seemed to be growing concerns over the debt load in the AI sector. One company in focus, Coreweave, which provides access to GPUs and data centres for AI cloud computing, has seen its debt sell off

hard. It is a high-yield issuer, but its 2032 bonds trading at 78 cents on the dollar are raising some eyebrows and questioning whether the buy-side has limitless appetite to fund the AI build-out.

It looks premature to conclude that AI funding will hit a wall, but it is interesting to see better performance at the long end of the US Treasury market. This tentatively suggests yields have hit levels where value is being seen.

For the FX market, overnight price action provides a preview of how currencies will perform during a big AI correction. Rather than rallying as a safe haven, the dollar weakens as the Fed cycle gets re

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Chris Turner

EUR: Some consolidation may be due

EUR/USD touched the 1.1100/1120 target area, which we had been highlighting in recent weeks, but it has quickly reversed. A correction in the AI forever thesis is probably the biggest chance of EUR/USD finding support right now, given that the French budget story looks set to endure. But let's see whether this AI correction story has legs and is enough to drag EUR/USD back to the 1.1300/1350 area – purely from the dollar side.

Chris Turner

PLN: Delayed NBP tightening leaves the zloty vulnerable

Final Polish inflation was revised slightly higher to 4.1% from the 4.0% September flash estimate. Our core inflation forecast is unchanged at 3.1%, down from 3.3%, with today's release expected to confirm the figure. Since the October National Bank of Poland meeting, nearly all Monetary Policy Committee members have spoken, offering mixed signals. Most have sounded somewhat more hawkish than Governor Adam Glapinski, but the majority see

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record-high gas prices will make it difficult for regional currencies to sustain gains. The PLN looks particularly vulnerable given the NBP's dovish stance relative to market pricing. We therefore continue to expect EUR/PLN to return to the 4.380-4.400 range.

Frantisek Taborsky

RON: Political breakthrough supports stability, but upside is limited

Romania appears closer to ending five months of political deadlock after the Social Democrats agreed to join premier-designate Luca

Niculescu's cabinet with 11 ministers. The Liberals and UDMR will not enter government but have pledged parliamentary support for six months, likely giving Niculescu the majority needed for approval. The cabinet is also expected to include technocrats in finance, energy and foreign affairs.

This is Niculescu's fourth attempt by President Nicușor Dan to install a prime minister since May, after the previous coalition collapsed and previous nominees failed. A government should reduce near-term pressure on the leu and lower the risk of Romania losing its investment-grade rating. However, the economic backdrop remains difficult after last year's fiscal tightening pushed activity

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Frantisek Taborsky

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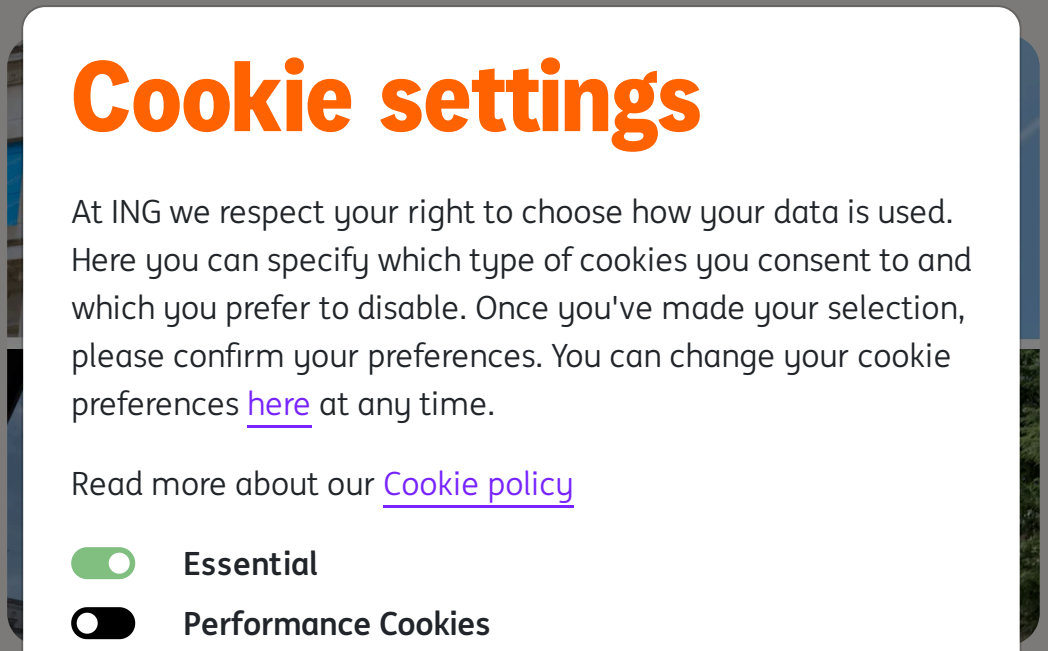
Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months

James Knightley, Carsten Brzeski, James Smith and Chris Turner



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hikes, while four of 18 thought they would need to raise rates at both the October and December meetings. The other 12 all expected one further rate rise this year.

Senior Fed officials have since suggested that they can take their time on rate hikes with no need for moves at consecutive meetings, which means October's FOMC meeting is widely expected to see policy left unchanged. We, like the market, expect a 25bp rate hike at the December meeting given inflation remains elevated and unemployment is low.

Nonetheless, the move higher in Treasury yields and the stronger dollar are contributing to tighter monetary conditions, which will weigh on growth. Given our inflation and jobs projections, we do not expect additional policy tightening in 2027, despite the market pricing in a further 50bp of hikes.

European Central Bank

A resilient eurozone economy and increasing headline inflation remain strong arguments for yet another ECB rate hike. Not necessarily at the October meeting, as the ECB prefers having the quarterly staff projections in its briefing notes when deciding on i
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growth and inflation as an additional 25bp rate hike.

For France, it's closer to a 50bp hike. With bond markets doing the ECB's job, some central bank officials might be less keen to continue hiking than they were at the September meeting.

Bank of England

We now expect two rate hikes from the Bank of England – in November and February. Until now, the Bank has cast its decision not to cut rates, as implicitly planned before the Iran War, as de

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facto tightening. But recent comments suggest it increasingly feels it needs to act.

The Bank's November inflation forecasts are likely to show CPI briefly above 4%, and that is likely to be the catalyst for a hike, citing previous research that inflation at these levels is historically more likely to trigger second-round effects.

But the case for hikes is still not compelling. With the jobs market still relatively cool, we're sceptical that wage growth is likely to react to higher energy prices anywhere near as much as it did four years ago. Interest rates are also more evidently restrictive than they are in
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monetary policy to provide some credible macro support to July's joint US-Japan intervention in the yen.

We see risks that the next hike could be pushed back into January, however. This allows the BoJ a little more time to monitor the economy. Prime Minister Sanae Takaichi's government remains set on a domestic demand push, and we have a slight preference that the next two hikes are backloaded into January and April, right before the consumption tax rate on food is cut to 1% from 8%.

Central banks

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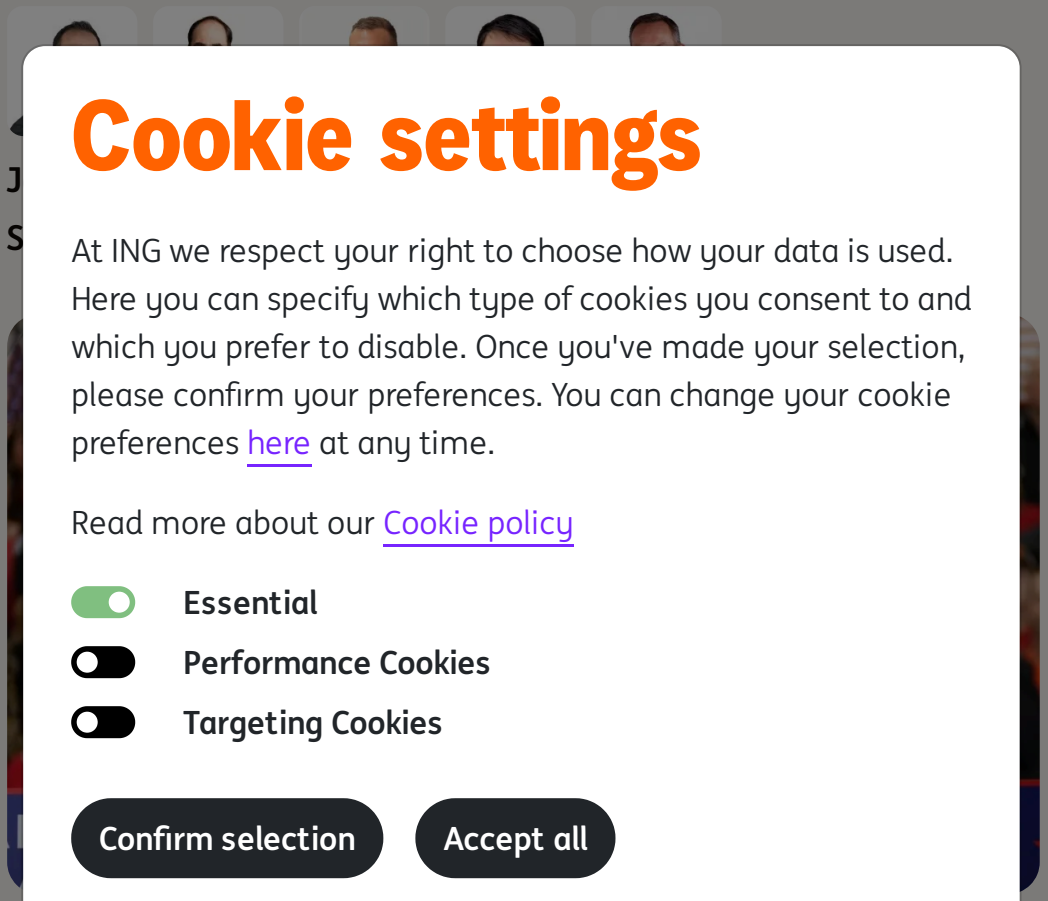
Intensifying cost-of-living concerns, linked to the price of motor fuel and the war with Iran, have boosted the Democrats' chances of regaining control of Congress, but nothing is guaranteed in US elections. We look at the three possible scenarios and what they may mean for the economy and markets



President Donald Trump's approval rating has hit new lows as we approach the US midterms in November

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The US midterm elections are on 3 November, with all 435 House of Representatives seats and 35 of the 100 Senate seats up for election. Worries about the cost of living and the impact of AI on job security are regularly cited as key factors driving sentiment, while support for the conflict with Iran has wavered. Opinion polls currently suggest the Democrats lead by around eight percentage points nationally, and President Donald Trump's own approval

rating has hit new lows, leading to Republican Party concerns about a demotivated electoral base.

Pollsters and prediction markets anticipate a Democrat takeover of Congress, but surprises do happen in US politics. While the midterms rarely lead to radical changes in policy direction, the result could significantly constrain President Trump, putting more focus on foreign and trade policy. We look at what the possible outcomes could mean.

Midterm election scenarios

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given the state of the opinion polls. Nonetheless, if it happens, President Trump will see it as justification for his America First strategy. With re-election no longer a consideration, Trump's final two years are likely to focus on his legacy, entrenching what he views as his defining achievements.

We are looking at a further strengthening of border enforcement with expanded deportations. Tariff policy is likely to be increasingly focused on incentivising foreign partners to align with US international policy, together with more defence spending demanded of NATO members. Trump will also feel emboldened to

push hard economically and militarily against Iran with demands that other countries contribute to those efforts. Deregulation is likely to be a theme, while fast-tracking AI/technology innovation and incentivising manufacturing and energy production (both fossil and nuclear) will be the main policies aimed at boosting economic growth.

Fiscal worries are likely to intensify, though. While few expect the president to follow through with his promise of $5,000 checks for returning Republicans to Congress, more defence spending will not be fully offset by efficiency savings or lower healthcare expenditure. Fiscal sustainability fears will intensify. At the same time, an

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an action would require a bad pain trade first for Treasuries to trigger such action.

Cyclically, this would be the most positive for the dollar on the back of the looser fiscal, tighter monetary policy outcome. Higher bond yields would continue to pressure-test the global financial system, with emerging market currencies and perhaps the euro too, via French government bonds, coming under further pressure.

Scenario 2: Trump constrained

Democrats win control of the House, Republicans retain the Senate

The House, where officials serve two-year terms, is currently split between 219 Republicans and 214 Democrats, with 2 seats vacant. Pollsters and prediction markets appear confident the Democrats will win here with relative ease. The Senate, currently split between 53 Republicans and 45 Democrats with 2 independents who vote with the Democrats, is a much closer call. The Democrats need to flip 4 of the 22 Republican seats and hold on to all 13 of their seats that are up for election to gain control of the Senate.

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personnel, and 5) administration and management policy. This suggests Iran and tariffs/trade policy are likely to be the focus for the president, but the Democrats could use Congressional power to try and restrain his actions.

Fiscal dynamics will remain a concern, although hitting the debt ceiling could act as a temporary brake. It will likely be an issue by mid-summer 2027 with little ground for compromise between the two sides in Congress. This risks an extended government shutdown, potentially exceeding last October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The

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Federal Reserve risks “flying blind” again with no government economic statistics being collated or released.

It is the House where impeachment proceedings are started and a new round of action is possible. To be impeached, 67 of 100 Senators must vote in favour, which is likely not going to happen given there won’t be enough Democrats (and supportive Republicans) to force it through. Nonetheless, the Democrats could use it as a way to constrain the president, but it risks toxifying the political situation in the US. Rather than the president facing such action, it has been mooted that the Democrats could launch investigations into members of his cabinet.

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Scenario 3: Democrat clean sweep

Democrats win control of both the House and the Senate

Given the polling and President Trump’s poor personal approval ratings, this is the most likely outcome priced in prediction markets, although political analysts remain on the fence between this and scenario 2.

The implications are similar to scenario 2, but Democrats would likely feel even more confident about pushing back against President Trump’s policies on Iran, support of Israel and any escalation of tariffs. They will be applying pressure on the president

to sound tougher towards Russia and to provide support to Ukraine. Domestically, Democrats in Congress will try and pass legislation that improves healthcare access in return for some acquiescence surrounding the president's demands for higher defence spending – a government shutdown could reflect badly on the Democrats if they have control of both the House and the Senate. Fiscal concerns will persist.

A very strong showing for the Democrats that leads to a sizeable majority would heighten the chances of a third impeachment of President Trump, although it would need a sweeping victory to offer any chance of a conviction.

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yields possibly see a silver lining from more tariffs acting as a tax hike, but at the same time pressured by inflation. The 10yr risks getting towards 5.5%, but without breaking above.

The dollar could see a little weakness here as an emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out.

What it means for Europe and China

Should Republicans pull off a huge surprise and retain control of Congress, political pressure on Europe will increase. The risk of a

forced deal between Russia and Ukraine, to the disadvantage of Ukraine and Europe, increases and could undermine economic sentiment in Europe. A new escalation in the Middle East would push up energy prices and harm the European economy. Europe's latest shift towards more protectionist trade policies could bring new global trade tensions.

Should there be a split Congress with the Democrats controlling the House, and Trump does indeed focus on foreign and trade policy, volatility and uncertainty in the global economy could increase. This will clearly affect Europe. At the same time, with only two years left in office, the TACO (Trump Always Chickens Out)

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Personal ties between the two leaders appear good and if the Republicans retain control of Congress, Trump's attention will be spread across a broader range of issues. This would make rocking the boat with China appear a little less likely. However, if President Trump is constrained by a Democrat-controlled Congress, then his focus will be channelled towards foreign and trade policy, meaning China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. If the Democrats win both the

House and the Senate, it would send a signal to China that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

US Trump Scenarios Midterm elections

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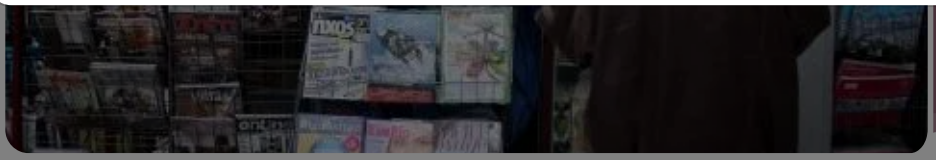

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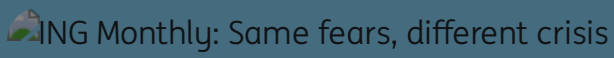

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France's 2027 budget would prevent a sharp deterioration in the public finances, but it would not be enough to stabilise public debt. Its adoption would provide some relief, although fiscal and political risks are likely to remain well beyond next year's presidential election

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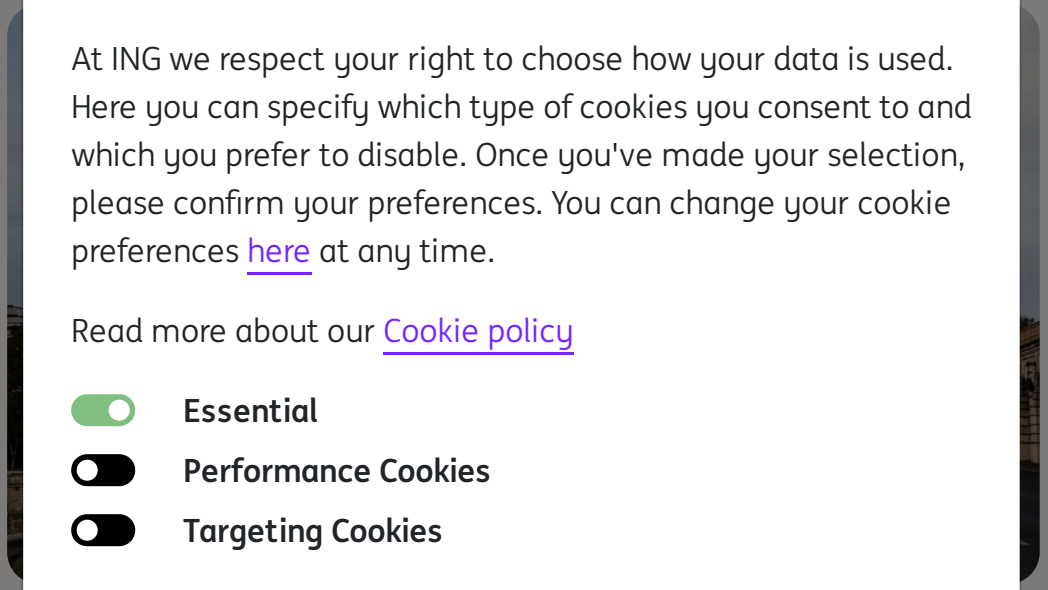

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France is in the eye of the storm. Its public finances have deteriorated significantly, the budget faces a difficult parliamentary process, and the presidential election offers no clear prospect of political stabilisation. Economic conditions provide little support; we expect GDP growth of only 0.3% in 2026 and 0.6% in 2027.

France's debt dynamics are particularly unfavourable. Over the past 15 years, its public debt ratio has risen significantly, while many other European countries have reduced theirs. French public debt reached 119% of GDP in mid-2026 and is expected to increase to

121.7% in 2027. Persistent primary deficits, rising interest payments and weak growth mean that debt will continue to rise without sustained fiscal adjustment.

The budget would limit the deterioration, not stabilise debt

The draft budget aims to reduce the public deficit to 5% of GDP in 2027, after 5.4% in 2026 and 5.1% in 2025. This requires €43bn of new measures. Without them, the government estimates that the deficit would reach around 6.5% next year.

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We, nevertheless, expect the government to survive. Opposition parties have little incentive to trigger another political crisis shortly before the presidential election, take responsibility for the resulting instability and risk a further deterioration in the public finances.

Alternatively, the government could let the deadline expire and impose its original budget by ordinance. It would first have to survive any pre-emptive no-confidence motion. Once the ordinances were adopted, however, the budget would remain in force even if the government subsequently fell.

Failing either outcome, a special law would ensure continuity of the state. But the deadlock could last until the summer and, without corrective measures, cause a sharp deterioration in the public finances.

France therefore faces another two months of budget uncertainty. Adoption would be a relative success, preventing the deficit from rising towards 6.5%. But concessions could dilute the adjustment, while even the original package would not stabilise debt.

Fiscal uncertainty will persist in 2027

Even if the budget is adopted, fiscal uncertainty will not disappear.

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The far-left La France Insoumise and its candidate, Jean-Luc Mélenchon, support cancelling part of the debt held by the central bank and pursuing an expansionary fiscal policy. There is even less visibility on who will emerge from the centre, the right and the rest of the left, or on their fiscal plans.

The 2027 budget will be a critical first step in containing France's fiscal deterioration. Whether that adjustment can be sustained and extended after the election remains much more uncertain.

Public finances | GDP | France | Eurozone | Elections

Deficit Debt Budget

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ING Monthly: Same fears, different crisis

This bundle contains 16 articles

Included in the following ING Monthly

ING Monthly: Same fears, different crisis

6 NOVEMBER 2023

ING Monthly: Same fears, different crisis

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China's recent State Council meeting appeared to signal a more proactive policy push amid flagging growth. Even though trade ties with key partners such as the US and EU look more stable, global risks abound as 2027 approaches

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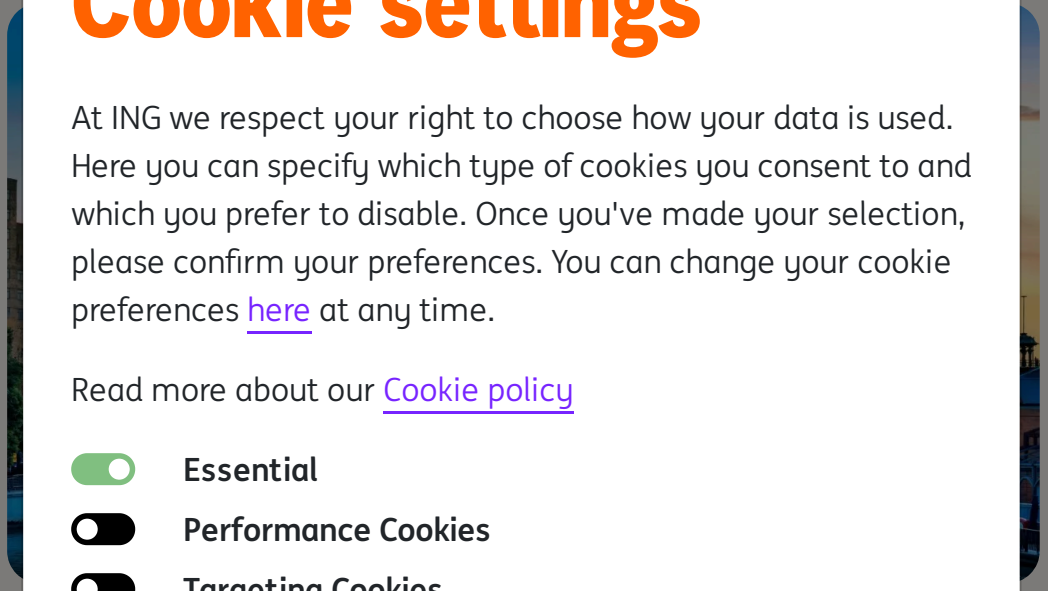

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policy support

China's State Council meeting on 28 September called for stronger countercyclical policy adjustments. The following day, the People's Bank of China cut the one-year pledged supplementary lending rate by 25bp to 1.5%. It also increased re-lending quotas for technology and equipment upgrades and for rural and small businesses. Beijing announced the first-ever nationwide mortgage interest subsidy for first-time homebuyers to boost the struggling property market.

The package maintains an accommodative policy direction but relies on targeted tools and fiscal-monetary coordination rather than broad-based rate cuts.

Overall, these moves are likely to offer modest support to investment and housing at a time when credit demand is likely to remain under pressure amid weak sentiment.

There remains room for further support measures, such as policies to boost employment and incomes and other measures to boost domestic demand. Should economic momentum remain subdued into year-end, policymakers may respond with further fiscal s

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calling for tougher trade tools signals increasing risk that we could see trade barriers come into effect. EU-China trade talks concluded with an initial agreement to ease tensions. It includes reducing hybrid vehicle exports from China to the EU, improving market access, and increasing medical equipment imports from the EU to China. This should keep trade ties stable for now, but further negotiations are still likely ahead.

With the EU representing around 14-15% of China's total exports, the second-largest export market after ASEAN, maintaining stable trade ties remains important for China's outlook.

China's inflation remains the exception to the rule

We've seen inflation rise in many economies across the world. But prices in China have largely remained under control. Most worry about a return to deflation more than out-of-control inflation.

Two factors are curbing China's inflation: food and housing. Together, these represent over half of China's CPI basket. Food inflation has been kept low amid an extended downturn in China's pork price cycle. Supply has been aided by advancements in hog megafarms, low feed prices, and general efforts to maintain high le
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China Asia Pacific Asia

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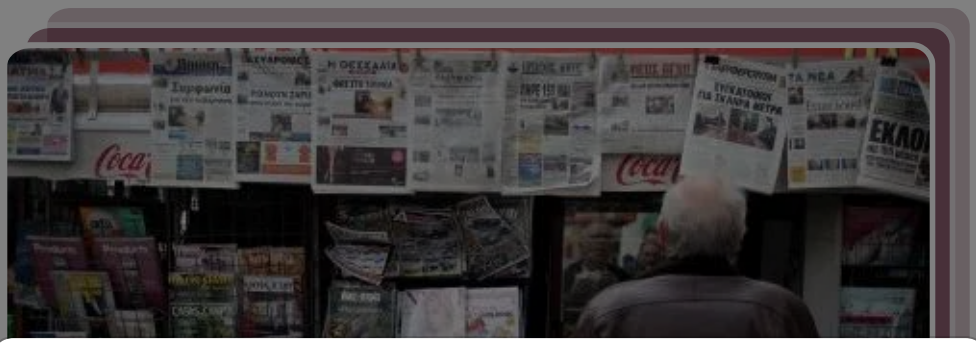

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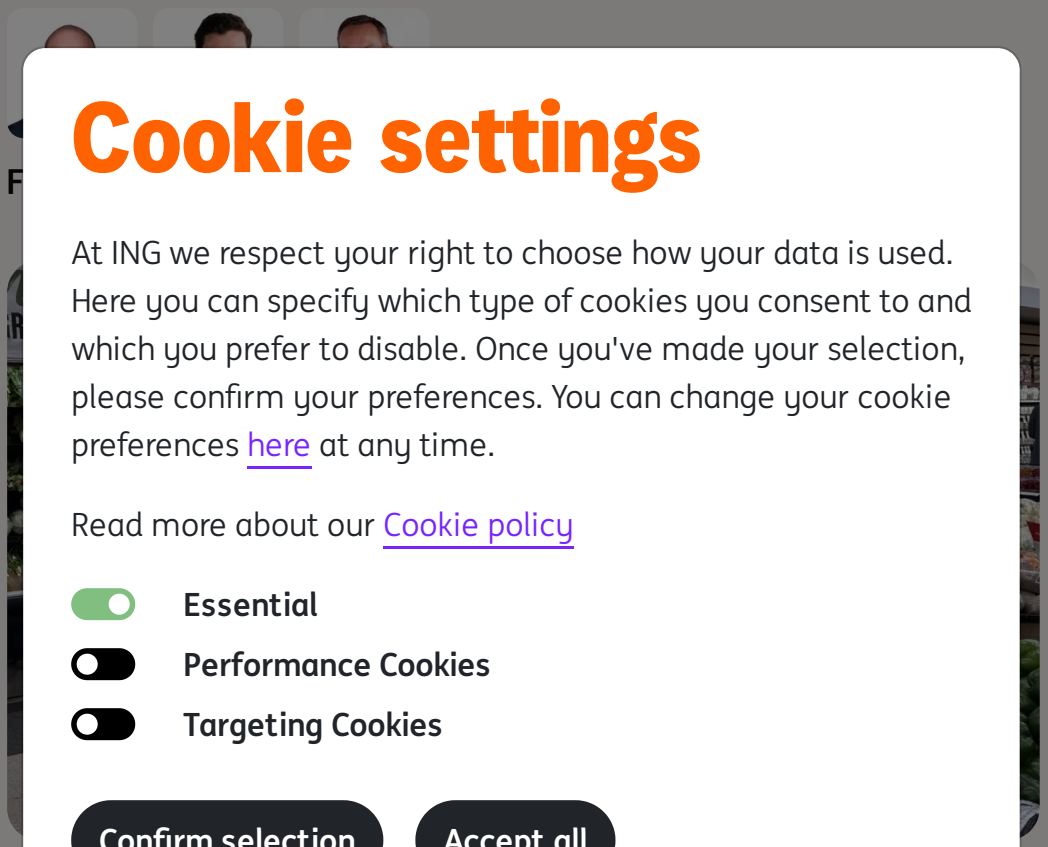
We expect MoM US CPI to be 0.1pp higher than consensus in both headline (0.7%) and core (0.3%) today. While that shouldn't be enough for markets to price in 50%+ chances of an October Fed hike, it can reinforce expectations of further tightening down the road and, by extension, the dollar's floor. EUR/USD may retest recent lows before any recovery



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We have published the October edition of FX Talking: Au revoir, euro bulls, with updated FX forecasts and views.

USD: Upside risks persist

The dollar had a soft session yesterday as stretched positioning and short-term overvaluation coincided with a recovery in global bonds. A dovish comment by the Fed's John Williams added a bit of

weight to the dollar, more by supporting risk sentiment than triggering much dovish repricing in the front end.

Williams said he still expects another hike this year, but there are signs that inflation will slow and he doesn't see further tightening in 2027. That is in line with the median Dot Plot, and Williams is a dovish-leaning voice, but such an explicit pushback against market expectations (three more hikes by June) has been uncommon.

Today, all eyes will be on US inflation data for September. The consensus is for a 0.6% month-on-month acceleration in headline CPI and 0.2% MoM in core. Our macro team is expecting slightly h

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We have a one-month target of 1.13 in EUR/USD, but we could still re-test the 1.1150-1.1160 area in the coming days. As discussed in the USD section above, we see upside risks for USD today as US CPI is released.

Francesco Pesole

SEK: Looking healthier

EUR/SEK has corrected around 1.8% from the 1 October 11.36 high, with a major contribution from French fiscal risk. It's important to note EUR/SEK was starting from a marked (around 2%) short-term

overvaluation at the end of September, and it's now fairly valued – unlike EUR/USD, which is cheap according to our models.

The move is likely welcomed by the Riksbank, which has been keeping a closer eye on the krona's weakness now that inflationary risks are rising. September CPIF inflation didn't scream a rate hike, headline at 1.5% and core at 0.5%, but the Riksbank has clearly signalled it's ready to hike in November, and we see a high bar for a rethink.

A hawkish Riksbank and dovish repricing of ECB expectations have narrowed the two-year EUR/SEK swap spread by nearly 20bp over t

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emerging inflationary risks for the CEE region stemming from energy and food prices. Until now, food prices have offset higher fuel costs in the region, keeping headline inflation in check. This dynamic is expected to shift in the coming months as we see a lagged pass-through of global prices into local inflation.

Market sentiment yesterday was mixed, reflecting a catch-up following Monday's US close alongside natural gas prices hitting new highs. The latter, in particular, suggests that the CEE region cannot enjoy a respite for long. While we saw a rally in FX and rates yesterday, we do not believe the rates rally is justified at this juncture, given the rising risk of higher inflation and the strong

correlation observed recently between interest rates and energy prices. Consequently, we expect these gains to be short-lived.

Frantisek Taborsky

US | Monetary Policy | FX | Federal Reserve | Eurozone | Emerging markets

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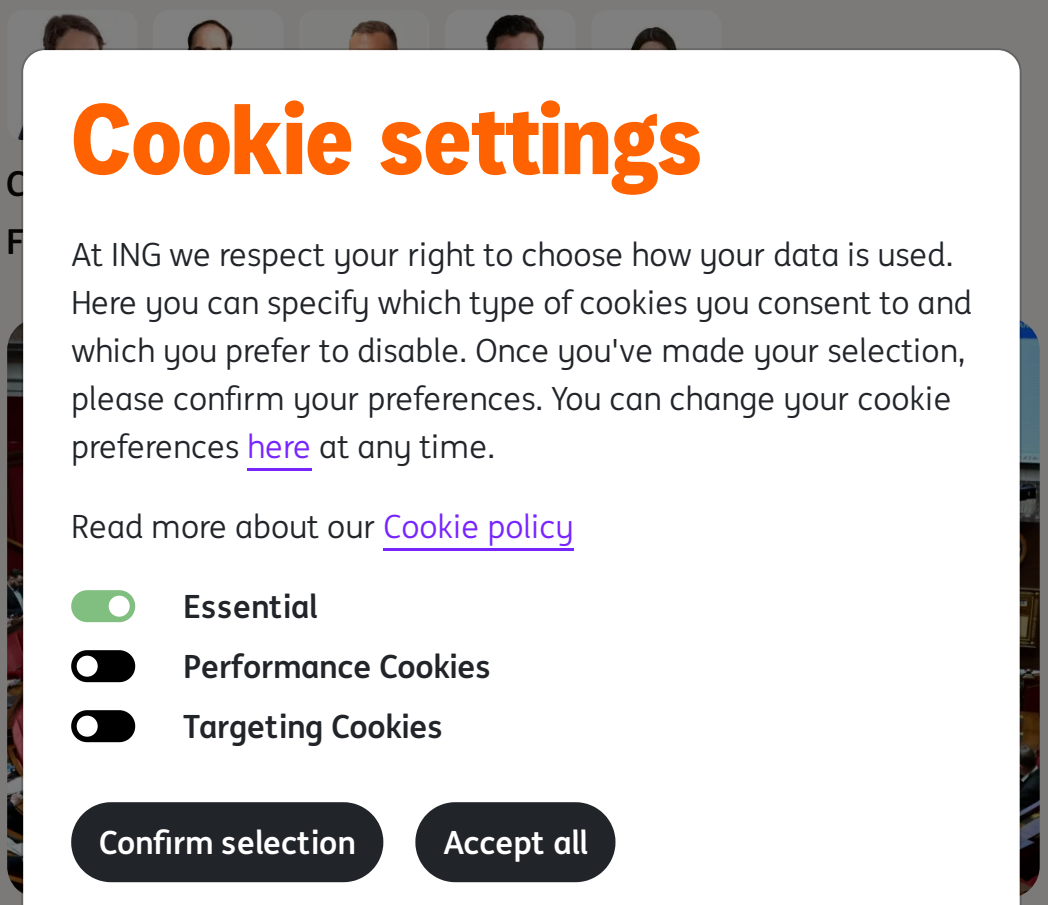
France's fiscal and political challenges have pushed bond spreads to levels not seen since the sovereign debt crisis. Could France become the eurozone's next major fault line? Join ING experts for a discussion of the risks, the policy options, and the implications for the economy, bond markets and the euro. Sign up here



French Prime Minister Sébastien Lecornu during a parliamentary debate on France's budget.

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France's deteriorating public finances and rising political uncertainty are increasingly testing investor confidence. As bond spreads widen to levels last seen during the sovereign debt crisis, questions are growing about how sustainable the country's fiscal path has become. What can the government realistically do to restore credibility, how far could the European Central Bank go to calm markets, and could Christine Lagarde face her own 'whatever it takes' moment? Join ING experts for a discussion of the risks, the

policy options and the implications for the economy, rates and the euro. Click here to sign up.

Details

Date: Thursday 15 October

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 40 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

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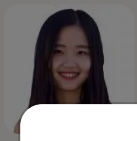
As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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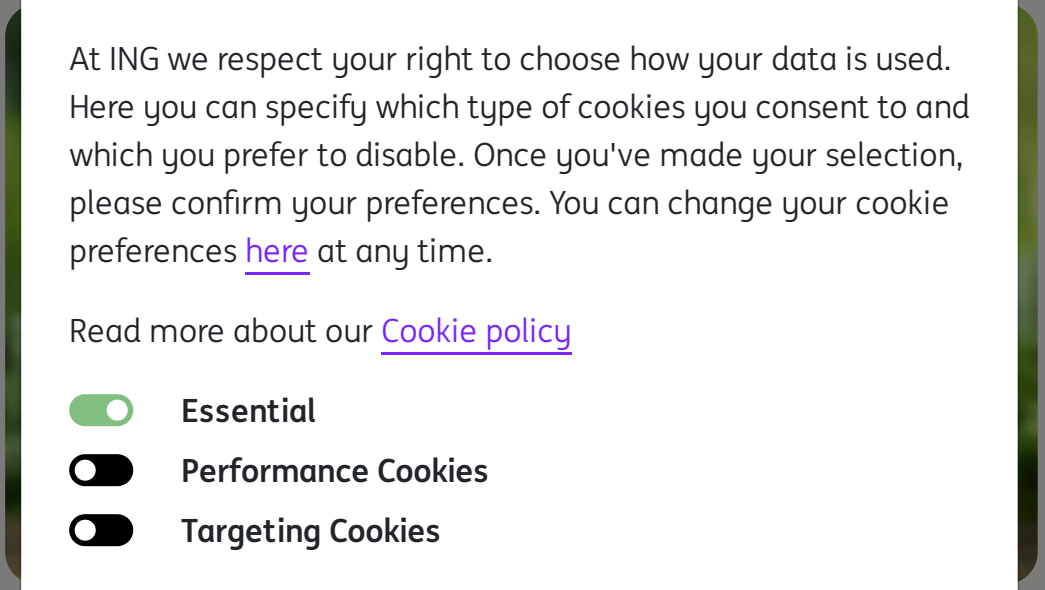

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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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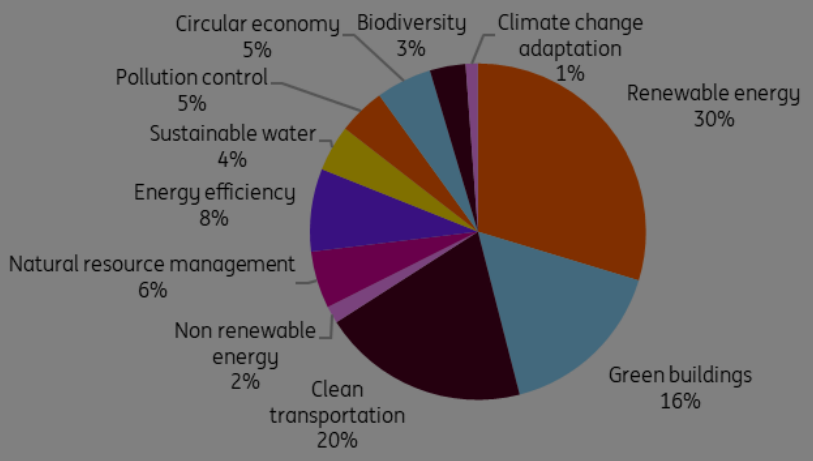
Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins

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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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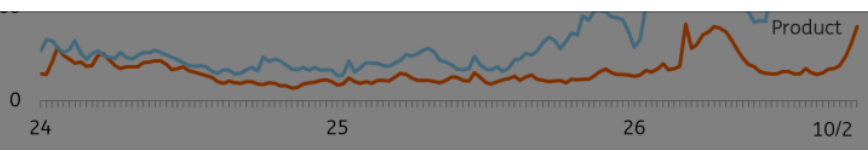

Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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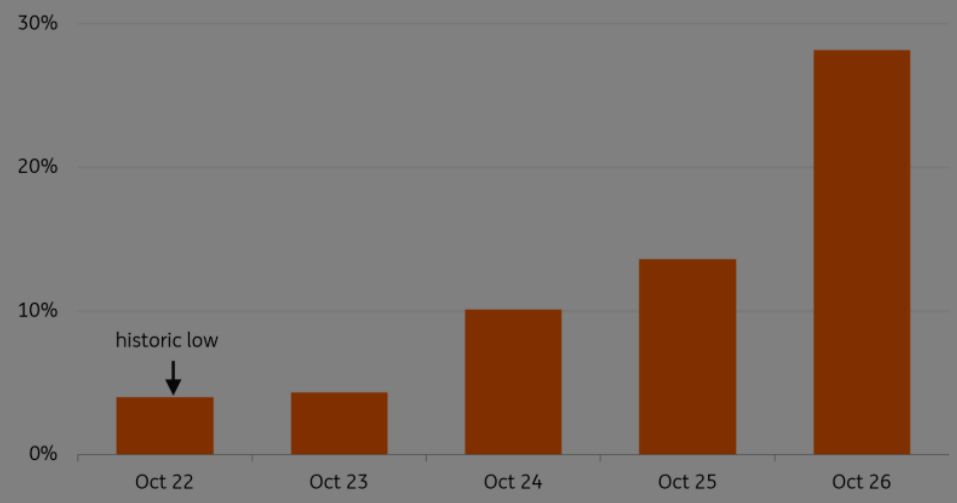

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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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